Contents

MUMIAS SUGAR
COMPANY LIMITED

Our Vision

To be a world class producer of sugar and energy.

Our Mission

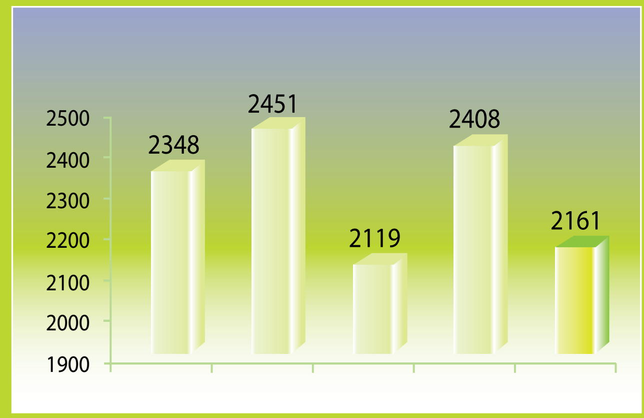
To consistently satisfy consumer needs for sugar and energy through efficient and innovative practices while meeting the diverse expectations of all our stakeholders.

Our Key Values

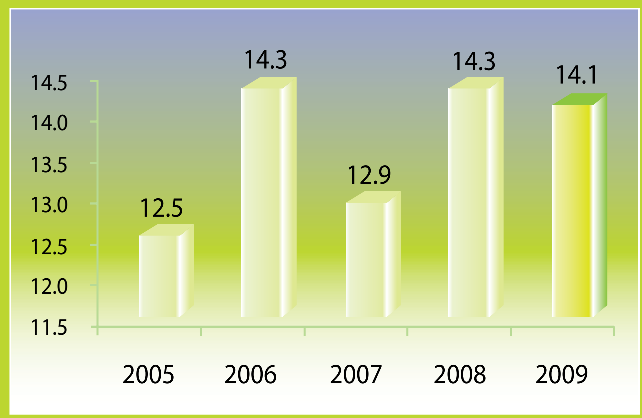
- Consistently offer quality products and services to our customers.
- Uphold excellence in performance as a key business driver.
- Encourage teamwork and positive contribution from our motivated and innovative employees.
- Conduct business with our customers and all other stakeholders with integrity and probity.
- Practice fair competition.
- Observe good corporate governance at all times.
- Be a responsible corporate citizen.
- Be an equal opportunity employer guided by local laws and International Labour
- Organization conventions.
- Embrace internationally accepted health, safety and environmental practices in our operations.

Performance Highlights

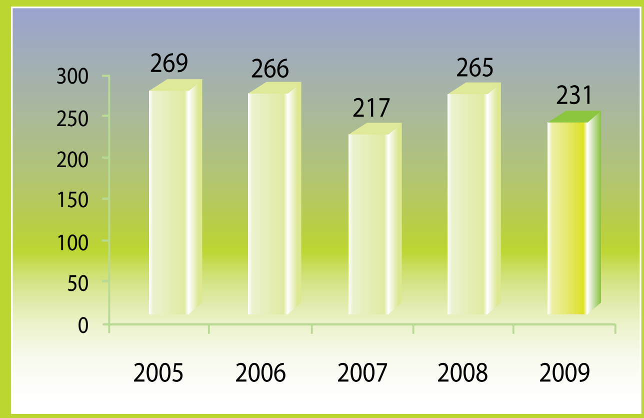
Sugar Cane Processed ('000' Tonnes)



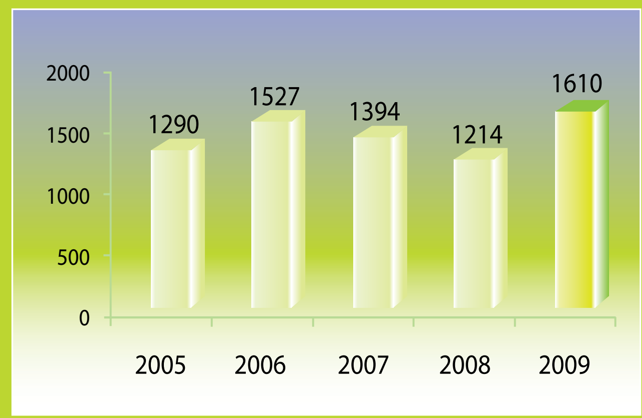
Gross Turnover (Shs. billions)



Sugar Production ('000' Tonnes)



Profit After Tax (Shs. millions)



Rendement

Earnings Per Share - Shs

CORPORATE INFORMATION

DIRECTORS

Mr J V Bosse	- Chairman
Dr E Kidero	- Managing Director
Mr J Kinyua	- (alternate Mrs E Koimett)
Hon S A Wako	- (alternate Mr P Okoth)
Mr J G Chege	
Mr K Gatabaki	
Dr C W Wangia	
Ms G K Ngala	
Mr M R Juma	
Mr E S Osundwa	
Mr F K Kigen	
Mr A Hassan	

BOARD COMMITTEES

Board Audit Committee

Mr J G Chege	- Chairman
Mr K Gatabaki	
Mr J Kinyua	- (alternate Mrs E Koimett)

Board Human Resource and Strategy Committee

Mr K Gatabaki	- Chairman
Dr E Kidero	
Ms G K Ngala	
Mr E S Osundwa	
Mr J Kinyua	- (alternate Mrs E Koimett)
Dr C W Wangia	

Board Tender Committee

Mr M R Juma	- Chairman
Dr C W Wangia	
Mr J G Chege	
Mr F K Kigen	

COMPANY SECRETARY

Mrs Emily Otieno
Certified Public Secretary (Kenya)
P O Box 10037 - 00200
Nairobi

REGISTERED OFFICE

Mumias Sugar Company Limited
Private Bag
Mumias

BANKERS

Kenya Commercial Bank Limited
Barclays Bank of Kenya Limited
The Co-operative Bank of Kenya Limited

ADVOCATES

E K Owinyi & Company
Hamilton Harrison & Mathews
Wetangula & Company Advocates

AUDITORS

Deloitte & Touche
Certified Public Accountants (Kenya)
"Kirungii", Ring Road, Westlands
P O Box 40092 - 00100
Nairobi

The major shareholders on the company's share register as at 30 June 2009 were as follows:

MAJOR SHAREHOLDERS

No.	Name	Number of shares	Percentage holding
1	Permanent Secretary, Treasury	306,000,000	20.00
2	Kenya Commercial Bank Limited	46,500,000	3.04
3	The Jubilee Insurance Company Limited	25,235,002	1.65
4	Kanouti Trustees	19,575,063	1.28
5	Abdul Karim Charturbhai Popat	14,400,000	0.94
6	Karim Jamal	11,380,283	0.74
7	Pradeep Patani	9,208,197	0.60
8	Kenya Commercial Bank Nominees Limited A/C 744A	9,148,944	0.60
9	Barclays (Kenya) Nominees Limited A/C 1256	8,850,637	0.59
10	Barclays (Kenya) Nominees Limited A/C1853	7,384,944	0.48
11	Others	1,072,316,930	70.08
	TOTAL	**1,530,000,000**	**100.00**

MSC DIRECTORS SHAREHOLDING

NO.	DIRECTOR'S NAME	Number of Shares
1	PERMANENT SECRETARY TREASURY	306,000,000
2	HON. AMOS S. WAKO	1,050,000
3	DR. EVANS KIDERO	640,000
4	MR. MAURICE ROBERT JUMA	64,050
5	DR. CALEB W. WANGIA	59,120
6	MS. GRACE K. NGALA	21,400
7	MR. EDWIN S. OSUNDWA	19,706
		307,854,276

SHAREHOLDERS PROFILE

Category	Number of Shareholders	Number of Shares	Percentage Holding
Local corporate	5,014	762,183,912	49.8
Local individuals	141,429	729,025,123	47.7
Foreign investors	670	38,790,965	2.5
Foreign Investors	**147,113**	**1,530,000,000**	**100.0**

MSC SHARES DISTRIBUTION SUMMARY

Shareholding Classification	Accounts	Number of Shares	Shares %
1 to 1000	5,213	370,955	0.02
1001 to 10000	129,639	260,329,843	17.02
10001 to 100000	11,121	280,205,608	18.31
100001 to 1000000	1,006	269,696,618	17.63
1000001 to 10000000	129	321,648,015	21.02
10000001 to 100000000	4	91,748,961	6.00
100000001 to 1530000000	1	306,000,000	20.00
Total:	**147,113**	**1,530,000,000**	**100.00**

NOTICE IS HEREBY GIVEN that the 38th Annual General Meeting of the company will be held at Tom Mboya Labour College on Friday 4 December 2009 at 11.00 am to conduct the following business:

1. To read the notice convening the meeting.
2. To confirm the minutes of the thirty seventh Annual General Meeting held on 5 December 2008
3. To receive, consider and, if approved, adopt the Financial Statements for the year ended 30 June 2009 together with the Directors' and Auditors' Reports thereon.
4. To declare and approve a final dividend of Kshs 0.40 per share for the financial year ended 30th June 2009 payable to the shareholders on the Register of members at close of business on Friday 6th November 2009.
5. To elect Directors:
   (a) Mr. Edwin Osundwa, Mr. James Chege, Mr. Francis Kigen and Mr. Alinoor Hassan will retire by rotation in accordance with article 113 of the company's Articles of Association.
   (b) Mr. James Chege, Mr. Francis Kigen, being eligible, offer themselves for re-election. However, Mr Edwin Osundwa and Mr. Alinoor Hassan have opted to retire in line with the Directors' appointment and retirement policy.
6. To approve the Directors remuneration for the year ended 30th June 2009
7. To note that the Auditors, Deloitte and Touche, being eligible, continue in office in accordance with section 159(2) of the Companies Act (cap 486) and to authorize the Directors to fix the Auditors' remuneration.
8. Any other business for which appropriate notice has been issued and received.

SPECIAL BUSINESS

9. To consider and, if approved, pass the following Special Resolution:-
   "That the article of Association of the Company be amended as follows:-

Article 2
By deleting it in its entirety and substituting with the following new Article.

"The regulations in Table 'A' in the First Schedule to the Companies Act (cap 486) shall apply to the Company"

Article 155.
By deleting it in its entirety and substituting with the following new Article.

"Any notice or other document may be served by the company on any member or Director either personally or by sending it through the post (by airmail where service is available) in a prepaid letter, or by facsimile or through electronic mail addressed to such member or Director at his registered address as appearing in the Register of members or the Company's other records, whether such address shall be within or outside Kenya. Provided that in the case of an Annual General Meeting and or Extra Ordinary Meeting , such notice may be given by:-

(a) Publishing a Notice containing an abridged version of both the Annual financial statements and auditors' report, in at least two daily newspapers with national circulation for at least two consecutive days; or
(b) Sending to every member electronically, a notice containing an abridged version of both the annual financial statements and auditors' report."

Article 158.
By deleting it in its entirety and substituting with the following new Article.

"Where a notice or other document is sent by post it shall be deemed to have been served on the third day after the day on which it was posted, if addressed within Kenya, and on the fifth day after the day on which it was posted, if addressed outside Kenya. In proving such service, it shall be sufficient to prove that the cover containing the notice or document was properly addressed and put into the post office as a prepaid letter or prepaid airmail letter. Where notice is sent by facsimile or electronically, it shall be deemed to have been served at the expiration of twenty-four hours after the time at which it was sent. Where notice is published in a daily newspaper, it shall be deemed to be served on the day on which it is first published."

Notice of the Annual General Meeting (AGM) 2009

By order of the Board

E.K OTIENO
Company Secretary

Date: 28th August 2009

Notes:

1. Any member may by notice duly signed by him or her and delivered to the Secretary, not less than 3 and not more than 21 days before the date appointed for the Annual General Meeting, give notice of his intention to propose any person for election as director to the Board, such notice is to be accompanied by a notice signed by the person proposed indicating his or her willingness to be elected.

2. A member entitled to attend and vote at the meeting and who is unable to attend is entitled to appoint a proxy to attend and vote on his or her behalf. A proxy need not be a member of the company. To be valid, a proxy form, which is at page 72 of this report, must be duly completed and signed by the member and must either be lodged at the offices of the company's share registrars, Image Registrars and Certified Public Secretaries, 8th Floor, Transnational Plaza, Mama Ngina Street, P.O. Box 9287, Postal Code 00200 G.P.O NAIROBI or lodged at the Company's registered office at Mumias not later than 11.00 a.m on Tuesday 1st December 2009 failing which it will be invalid. In case of a corporate body, the proxy must be under its common seal. Shareholders admission letter is also set out on page 72 for use by the shareholders on the AGM day.

Notisi Kuhusu Mkutano wa Pamoja wa Mwaka 2009

NOTISI INATOLEWA HAPA kwamba mkutano wa 38 wa pamoja wa mwaka wa kampuni utafanyika katika Tom Mboya Labour College Ijumaa Desemba 4, 2009 kuanzia saa tano asubuhi ili kuangazia maswala yafuatayo ya kibiashara:

1) Kusoma notisi ya kuitishwa kwa mkutano

2) Kuthibitisha kumbukumbu za mkutano wa 37 wa pamoja wa mwaka uliofanyika Desemba 5, 2008

3) Kupokea, kuangazia na endapo itakubalika kuidhinisha taarifa ya matumizi ya pesa kwa kipindi cha mwaka uliomalizika Juni 30, 2009 pamoja na ripoti kutoka kwa Mkurugenzi na wakaguzi wa pesa

4) Kutangaza na kupitisha malipo ya mwisho ya mgao wa faida wa senti 40 kwa kila hisa katika kipindi cha matumizi ya pesa kilichomalizika Juni 30, 2009 kilicholipwa wanahisa ambao majina yao yalikuwa kwenye rejista ya wanachama kufikia Ijumaa Novemba 6, 2009.

5) Kuwachagua wakurugenzi:
   a) Mabwana Edwin Osundwa ,James Chege, Francis Kigen na Alinoor Hassan watastaafu kwa zamu kwa mujibu wa kifungu nambari 113 cha sheria za kampuni
   b) Kwa kuwa hali inawaruhusu, Mabwana Chege na Francis Kigen wanajitokeza tena kuchaguliwa. Hata hivyo, Mabwana Edwin Osundwa na Alinoor Hassan wameamua kustaafu kwa mujibu wa sera za wakurugenzi za uteuzi na ustaafu.

6) Kupitisha ujira wa wakurugenzi kwa kipindi cha mwaka uliomalizika Juni 30, 2009

7) Kufahamu kwamba , kwa kuwa wanastahili , wakaguzi wa pesa Deloitte & Touche wataendelea mbele na jukumu lao kwa mujibu wa kifungu nambari 159 (2) cha sheria za kampuni (cap 486) na kuwaamuru wakurugenzi kuamua ujira wao.

8) Maswala mengine ya kibiashara ambayo notisi yakeitakuwa imetolewa na kupokelewa.

MASWALA MUHIMU

9) Kuangazia na endapo itakubaliwa kupitisha maswala yafuatayo kama maazimio maalumu:-
'Kwamba kifungu cha sheria za kampuni kifanyiwe marekebisho yafuatayo:

Kifungu cha 2:

Kwa kuondoa kifungu kizima jinsi kilivyo na kukibadili na kifuatacho.
'Masharti yaliyoko orodha"A" katika ratiba ya kwanza ya sheria za kampuni (cap 486) yatalenga kampuni".

Kifungu 155:

Kwa kuondoa kifungu kizima jinsi kilivyo na kukibadilisha na kifuatacho.
'Notisi yoyote au stakabadhi nyingine inaweza kutolewa na kampuni kwa mwanachama yeyote au Mkurugenzi kwa njia ya moja kwa moja au kwa kutumia njia ya posta (kupitia ndege pale huduma inapopatikana), barua, kipepesi au barua pepe kwa mwanachama au Mkurugenzi kupitia anwani yake kama ilivyoandikwa kwenye rejista ya wanachama au rekodi nyingine za kampuni iwe Anwani hizo ziko ndani au nje ya nchi mradi tu iwe ni kwa swala la Mkutano Mkuu wa pamoja wa mwaka au mkutano usio wa kawaida. Notisi kama hii inaweza kutolewa.

a) Kuchapisha Notisi iliyojumuisha taarifa za matumizi ya pesa na ripoti ya wakaguzi wa pesa kupitia magazeti mawili maarufu maeneo yote ya nchi kwa muda wa siku mbili;au

b) Kumtumia kila mwanachama notisi inayojumuisha taarifa kuhusu za matumizi ya pesa na ripoti ya wakaguzi kupitia mtandao

Kifungu 158

Kwa kuondoa kifungu kizima na kukibalisha na kifuatacho:
' Pale notisi au stakabadhi nyingine zinapotumwa kwa njia ya posta itachukuliwa kwamba notisi hiyo imewasili siku ya tatu kuanzia siku ilipotumwa endapo itatumwa maeneo ya nchi na siku ya tano kuanzia siku ilipotumwa endapo imetumwa maeneo ya nje ya nchi. Ili kuthibitisha huduma kama hii, itakuwa vyema kuonyesha kwamba bahasha iliyotumiwa ilikuwa na anwani sahihi na kutumwa kwa njia ya posta kama barua iliyolipiwa kwanza. Endapo notisi itatumwa kupitia kipepesi au barua pepe, itachukuliwa kufika kabla ya saa 24 kukamilika tangu ilipotumwa. Endapo notisi itatolewa kupitia chapisho la gazeti, itachukuliwa kufika siku ya kwanza ilipochapishwa'.

Kwa amri ya Halmashauri

E.K.OTIENO
Katibu wa kampuni

Imenukuliwa Agosti 28, 2009

Muhimu:

1. Kupitia notisi aliyotiwa sahihi kamili na kuwasilishwa kwa katibu wa katibu wa kampuni kabla ya siku 3 au kutozidi 21 kabla ya siku iliyotangazwa kufanyika kwa mkutano mkuu wa pamoja wa mwaka, Mwanachama yeyote anaweza kutoa notisi kuonyesha nia yake kumpendekeza mtu yeyote kuchaguliwa kama Mkurugenzi kwenye Halmashauri. Notisi kama hii iambatane na nyingine iliyotiwa sahihi na mtu anayependekezwa kuonyesha nia yake kuchaguliwa.
2. Mwanachama aliye na ruhusa kuhudhuria na kupiga kura wakati wa mkutano lakini akawa hawezi kuhudhuria, ana idhini kumchagua mwakilishi ili kumwakilisha na kupiga kura kwa niaba yake . Si lazima kwa mwakilishi kama huyo kuwa mwanachama wa kampuni. Ili kuweza kupiga kura, fomu ya uwakilishi iliyoko ukurasa wa 72 wa ripoti hii lazima ijazwe kikamilifu na kutiwa sahihi na mwanachama na kuwasilishwa katika ofisi za msajili wa hisa za kampuni , Image Registras and Certified Public Secretaries ,Orofa ya nane jumba la Transnational Plaza , barabara ya Mama Ngina SLP 9287-00200 GPO NAIROBI au kuwasilishwa katika ofisi za kampuni zilizoko mjini Mumias kabla ya saa tano, Jumanne Desemba mosi 2009 na endapo itakosa itachukuliwa kama iliyochelewa. Kwa upande wa mashirika, fomu ya uwakilishi lazima iwe imepigwa muhuri wake. Barua ya kuwasajili wanahisa iko ukurasa wa 72 kwa matumizi ya wanahisa wakati wa siku ya mkutano mkuu wa pamoja wa mwaka.

Board of Directors

Mr. Bosse is an Associate of the Chartered Institute of Bankers (ACIB-UK). He has had a long banking career with Kenya Commercial Bank where he rose to be the Chief Operating Officer of Kenya Commercial Finance Corporation. He also served as Chief Executive of Development Bank of Kenya for over 17 years before his retirement.

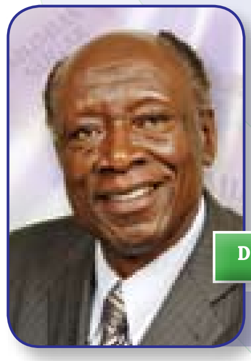
MR JOHN BOSSE (62)

Chairman

Dr. Kidero is a Pharmacy graduate from the University of Nairobi and holds an MBA from United States International University. He has over 25 years experience in the Manufacturing and Media sectors where he held several senior management positions and rose to become Managing Director of GlaxoSmithkline and Nation Newspapers Division.

DR EVANS KIDERO (52)

Managing Director



Dr. Wangia is a holder of a BSc Agriculture (Makerere University), Msc Agricultural Economics (University of Nairobi) and Ph.D Agricultural Economics (Alberta University, Canada). He was a breeder with the Ministry of Agriculture and lectured at Nairobi, JKUAT and Egerton Universities. He has wide experience in agro-input supply and use with Hoechst, Ciba Geigy and Pfizer, Winrock and CNFA (Cizens Network for Foreign Affairs, a US-based NGO). He consulted for FAO, IFAD, CIMMYT and USAID. He is Director of AGMARK (Agricultural Market Development Trust) among others. He is currently a Senior Advisor with CNFA Africa Programs.

DR CALEB WANGIA (63)

Director

Mr. Gatabaki is a graduate in Economics, Project Finance and Management from Legon and Bradford Universities. He worked for CDC (formerly Commonwealth Development Corporation) and Actis where he acquired wide experience in project finance, portfolio management and corporate board practices. He is the Chairman of Housing Finance Bank, Grain Bulk Handlers Ltd and Shelter Afrique among several other company Boards.

MR KUNGU GATABAKI (64)

Director

Ms Ngala obtained a BA degree from the University of Nairobi and an MA degree from the University of Connecticut, USA. Prior to joining MSC Board, Madam Ngala served as a Director on the Boards of National Housing Corporation and Kenya Women Finance Trust. She currently serves as a Director on the Kenya Women Enterprise Fund. Madam Ngala is also a member of the Professional Business Women Association.

MS GRACE NGALA (59)

Director

Mr. Chege is an Accountant by profession with a Bachelor of Commerce degree from the University of Nairobi and an MBA from Cornell University, Ithaca USA. Prior to becoming the Head of Corporate Banking at Kenya Commercial Bank, Mr. Chege worked as the Managing Director of KCFC which is a wholly owned subsidiary of KCB. He worked as Director, Bank Restructuring and Privatisation Project in the Ministry of Finance funded by the World Bank on a two year contract. He is currently managing a Financial and Investments Consultancy firm based in Nairobi.

MR JAMES CHEGE (55)

Director

Mr. Hassan is a holder of a Bachelor of Economics and Sociology degree from Egerton University and Masters of Science degree in Industrial Environmental Management from Wageningen University in Netherlands. He has held various management positions at Egerton University. He is currently Managing Partner of Eco International.

MR ALINOOR HASSAN (45)

Director

Hon. Wako was awarded a Bachelor of Law degree from the University of Dar es Salaam and Master of Law and Bachelor of Science (Economics) Honours degrees by the University of London. He is an advocate of the High Court of Kenya and a Fellow of the Chartered Institute of Arbitrators. He was a partner at Kaplan and Stratton Advocates and is currently the Attorney General of Kenya.

HON AMOS WAKO (63)

Director

Mrs. Otieno was appointed the Company Secretary with effect from 1st January 2009. She has an LLB Degree from the University of Nairobi, post graduate diploma from the Kenya School of Law and is an Advocate of the High Court of Kenya. She is also a Certified Public Secretary of Kenya CPS (K) and is a member of the Institute of Certified Public Secretaries of Kenya (ICPSK). She joined MSC as a Legal Officer in 1998 from Lake Basin Development Authority where she worked as a Principal Legal Officer. She is currently in charge of legal and secretarial functions of the Company.

MRS EMILY OTIENO (40)

Company Secretary

Mr. Osundwa is a graduate of Economics from Makerere University and a holder of a Master of Economics degree from York University, Toronto, Canada. Mr. Osundwa has worked as a Permanent Secretary in the Ministry of Planning and National Development. Prior to his retirement, Mr. Osundwa was the Permanent Secretary, Ministry of Local Government.

MR EDWIN OSUNDWA (62)

Director

Mr.Juma holds a Diploma in Statistics from the University of Dar es Salaam. He was a career banker having worked for Central Bank of Kenya for 27 years from where he retired as a Senior Research Officer. During his long stay at Central Bank, Mr. Juma worked as a member of the joint IMF and CBK Committee on Balance of Payments Review.

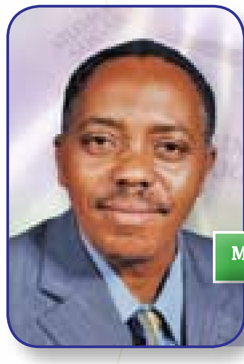
MR MAURICE JUMA (61)

Director

Mrs. Koimett is a holder of an MBA and Bachelor of Commerce degrees from the University of Nairobi. She has held various senior positions in government and the parastatal sector. She has been a Permanent Secretary, Ministry of Tourism and Information. She has also been the Managing Director of Postbank. She is currently the Investment Secretary, Ministry of Finance.

MRS ESTHER KOIMETT (52)

Alternate Director



Mr. Kinyua holds a Master of Arts degree in Economics. He has worked in various senior positions in the Central Bank of Kenya, IMF and Ministry of Finance. He is currently the Permanent Secretary, Treasury. He serves on several company Boards.

MR JOSEPH KINYUA (58)

Director

Mr. Kigen is a graduate of University of Nairobi where he obtained a BA (Hons) degree before proceeding for a Master of Education degree at the University of Malaysia, Kuala Lumpur in Malaysia. He has worked as a Director of Kenya Bureau of Standards, as alternate Director Esso Kenya Limited, Human Resources/Public Affairs Manager Esso Kenya Limited. He has also worked as Training Manager, British American Insurance Company and as Director of Kenya Institute of Personnel Management.

MR FRANCIS KIPKOECH arap KIGEN (63)

Director

Mr. Okoth has an LLB degree from Nagpur University, India, post graduate diploma from the Kenya School of Law and is an Advocate of the High Court of Kenya. He also has a Masters in International studies from Nairobi University and a certificate from the National Defence College (Kenya) in National Security Strategy Studies. He is currently a State Counsel in the Treaties and Agreements Department in office of the Attorney General.

MR PATRICK OKOTH (37)

Alternate Director

Chairman

JOHN V. BOSSE

On behalf of the Board or Directors of Mumias Sugar Company Limited (MSC), I have the pleasure in submitting the financial results and annual statements for the year ended on 30th June 2009 and report as follows.

Review of operations

The operating environment has become more challenging than before. Whereas the first half witnessed the perennial adverse weather challenges, the second half of the year witnessed a disruption in cane supply occasioned by political agitation for higher sugar cane prices.

The company processed 2,161,031 tonnes of sugar cane compared to 2,408,141 tonnes in 2008. Sugar produced at 231,014 tonnes was 13% lower than the 2008 production of 265,263 tonnes. The performance for the year under review was greatly affected by cane supply and factory performance operational challenges.

Gross turnover was Shs 14,184 million which was 1% below the previous year's achievement of Shs 14,305 million despite the 13% decline in production. This was attributed to better selling prices attained in the year.

Results

The company made a profit before taxation of Shs 231 million in the six months to 31 December 2008 and Shs 962 million in the second half of the year, making a total of Shs 1,193 million for the year. This was a significant turnaround given the challenges faced throughout the year.

The company finished the year with a profit after taxation of Shs 1,610 million which was an increase of 33% over the previous year's profit after tax of Shs 1,214 million. Earnings per share, at Shs 1.05, was Shs 0.26 higher than the previous year's Shs 0.79 representing a 33% increase.

Dividends

The Directors propose a first and final dividend of 20 % per ordinary share of Shs 2 each which is Shs 0.40 per share to all shareholders on the register of members as at the close of business on 6 November 2009.

Contribution to government revenue

MSC continues to honour its statutory obligations. The company's contribution to the exchequer in taxes was over Shs 3.2 billion in the year compared to Shs. 3.4 billion in 2008. The taxation credit of Shs 417 million in 2009 resulted from the 150% investment deduction on the co-generation project. The tax incentive by the government is commendable as it will encourage investments outside the main urban centres resulting in rural development.

Aerial view of Cogeneration Plant

Aerial view of caneyard operations

Significant achievements

The company successfully commissioned the 38MW co generation project effective 11th May 2009. This has led to increase in export of power to the national grid from 3MW to 26MW. The commissioning of the power substation and the transmission line was done simultaneously. Through this project, the company has diversified its product range and expanded its revenue streams. This is an initiative of the Board and management in preparing for the expiry of the COMESA safeguard measures in 2012. The full gains from the project will be realized once the loan from PROPARCO of USD 35 million is repaid in full.

The court case that had halted the implementation of the TARDA project was concluded. The Board is looking into the possibilities of progressing the project.

Future developments

As indicated elsewhere in this annual report, the Board is looking at various projects that are aimed at repositioning the company in the face of the current market changes. The Board is confident that the implementation of these projects will give your company a competitive advantage and a better return on your investments.

Environmental and regulatory compliance

MSC is committed to conducting its business activities with respect for the environment while continuing to meet its obligations to its shareholders, employees, customers and suppliers. MSC believes its operations are in compliance with all environmental regulations. As of the date of this report, there were no material legal proceedings pending against MSC.

Conclusion

On behalf of the Board, I wish to thank all our shareholders and stakeholders for your support during the year under review. I wish to assure shareholders that the Board of Directors has implemented appropriate strategies to boost and sustain improved profitability of the company and anticipate a better performance in the coming year.

John V. Bosse
Chairman

Cogeneration Plant Control Room

Taarifa kutoka kwa Mwenyekiti


Chairman
JOHN V. BOSSE

Kwa niaba ya Halmashauri ya wakurugenzi wa kampuni ya sukari ya Mumias, nina furaha kuwatangazia matokeo ya hesabu za pesa na taarifa ya mwaka kwa kipindi kilichomalizika Juni 30, 2009 na kutoa ripoti ifuatayo:

Mabadiliko katika utekelezaji shughuli

Halsmashauri ingependa kuwaarifu wanahisa kwamba, mazingira ya utekelezaji shughuli yamekumbwa na changamoto nyingi kuliko hapo awali. Huku kipindi cha kwanza cha mwaka kikishuhudia changamoto kali za hali ya hewa, kipindi cha pili kilishuhudia kuvurugwa kwa uwasilishaji wa miwa uliosababishwa na uchochezi wa kisiasa kudai nyongeza ya bei.

Kampuni ilisaga tani 2, 161, 031 za miwa ikilinganishwa na tani 2, 408, 141 mwaka 2008. Tani 231, 014 za sukari zilizosagwa zilikuwa asilimia 13 (13%) chini ikilinganishwa na usagaji wa tani 265, 263 mwaka 2008. Matokeo katika mwaka unaongaziwa yaliathiriwa pakubwa na changamoto za uwasilishaji miwa na shughuli za kiwanda.

Mapato ya jumla yalikuwa shilingi milioni 14, 184 kiwango ambacho kilikuwa asilimia 1 (1%) chini ikilinganishwa na mapato ya shilingi milioni 14, 305 mwaka uliotangulia licha ya kuwepo kwa uzalishaji wa chini.

Matokeo

Kampuni ilipata faida ya shilingi milioni 231 kabla ya kutozwa ushuru katika kipindi cha miezi 6 hadi Desemba 31, 2008 na shilingi milioni 962 kipindi cha pili cha mwaka na kupata jumla ya shilingi milioni 1, 193 mwaka mzima. Haya yalikuwa ni mafanikio muhimu licha ya changamoto zilizoshuhudiwa kipindi hiki cha nusu mwaka.

Kampuni ilikamilisha mwaka kwa kupata faida ya shilingi Milioni 1, 610 baada ya kutozwa ushuru kiasi ambacho kilikuwa ongezeko la asilimia 33 (33%) ikilinganganishwa na faida baada ya kukatwa ushuru ya shilingi 1,214 mwaka uliotangulia. Malipo kwa kila hisa yalikuwa shilingi 1.05 kiasi ambacho kiliongezeka kwa shilingi 0.26 ikilinganishwa na kiwango cha shilingi 0.79 mwaka uliotangulia na kuwakilisha nyongeza ya asilimia 33 (33%)

Mgao wa faida

Wakurugenzi wanapendekeza kutolewa kwa malipo ya kwanza na ya mwisho ya asilimia 20 (20%) kwa hisa za kawaida za shilingi 2 malipo ambayo ni senti 0.40 kwa kila hisa kwa wanahisa wote ambao majina yao yalikuwa kwenye rejista ya wanachama kufikia Novemba 6, 2009.

Mchango kwenye hazina ya serikali

Kampuni ya MSC inazidi kuheshimu majukumu yake kisheria. Mchango wa kampuni kwenye mfuko wa hazina ya serikali kupitia ushuru ulikuwa zaidi ya shilingi Bilioni 3.2 kipindi hiki cha mwaka ikilinganishwa na shilingi Bilioni 3.4 mwaka 2008.

Malipo ya ushuru ya shilingi milioni 417 mwaka 2009 yalitokana na punguko la uwekezaji la asilimia 150(150%) kwenye mradi wa pamoja wa uzalishaji kawi. Msamaha wa ushuru kutoka kwa serikali ni wa kutia moyo kwani utahimiza uwekezaji nje ya miji mikuu na kupelekea kuwepo kwa maendeleo mashambani.


Booker Secondary students in the chemistry lab

Taarifa kutoka kwa Mwenyekiti (Kuendelea)


Water Treatment Plant

Mafanikio muhimu

Kampuni ilifaulu kuzindua mradi wa pamoja wa uzalishaji kawi wa megawati 38 kuanzia Mei 11, 2009. Mradi huu umepelekea kuongezeka kwa mauzo ya nguvu za umeme kwenye hazina ya serikali kutoka megawati 3 hadi 26. Uzinduzi wa kituo kidogo na laini za usambazaji ulitekelezwa pamoja. Kupitia mradi huu, kampuni imepanua bidhaa zake na kuongeza njia za mapato. Mradi huu ni uvumbuzi wa Halmashauri na usimamizi kujiandaa baada ya kukamilika kwa COMESA. Manufaa kamili ya mradi yatapatikana mara mkopo wa Dola Milioni 35 kutoka PROPARCO utakapomalizika kulipwa.

Kesi iliyowasilishwa mahakamani kuzuia uzinduzi wa mradi wa TARDA ilikamilika. Halmashauri inachunguza mbinu za kuendeleza mradi huu.

Maendeleo siku za usoni

Kama ilivyoelezwa kwingineko kupitia ripoti hii, Halmashauri inachunguza miradi mbali mbali inayonuiwa kuiandaa kampuni kukabiliana na mabadiliko ya sasa katika masoko. Halmashauri ina imani kwamba uzinduzi wa miradi hii utaipa kampuni yenu nafasi bora ya ushindani na kupata matokeo mema kwa uwekezaji wenu.

Mazingira na utiifu wa sheria

Kampuni ya MSC imejitolea kutekeleza shughuli zake za biashara kwa kuheshimu mazingira huku ikizidi kuafikia malengo yake kwa wanahisa wake, wafanyakazi, wateja na wauzaji. MSC inaamini kwamba shughuli zake zote zinazingatia masharti yote kimazingira. Kufikia wakati wa kutolewa kwaripoti hii, hakukuwa na kesi zozote zilizokuwa zimewasilishwa dhidi ya MSC.

Kuhitimisha

Kwa niaba ya Halmashauri, ningependa kuwashukuru wanahisa wetu wote na washika dau kwa mchango wenu wakati wa kipindi hiki cha mwaka unaoangaziwa. Ningependa kuwahakikishia wanahisa kwamba, Halmashauri ya wakurugenzi imeandaa mikakati inayofaa kuinua na kuimarisha faida za kampuni na kutarajia matokeo ya kufana mwaka unaokuja.

John V. Bosse
Mwenyekiti.

Management

DR EVANS KIDERO
Managing Director

MR PETER KEBATI
Head of Finance / Chief Finance Officer

MR JAMES LUCHACHA
Head of Factory Operations

MR CHARLES NGETICH
Head of Agriculture

MS MARIA K. LIGAGA
Head of Human Resources

MR WESLEY KOECH
Head of Information Technology

MR PAUL MURGOR
Head of Sales

MRS EMILY OTIENO
Company Sectretary

MR EVANS KAIGA
Chief Internal Auditor

MRS PAMELA LUTTA
Marketing Manager

Managing Director's Statement

Managing Director

DR EVANS KIDERO

I am delighted to present the Company's performance report for the year 2009.

ECONOMIC ENVIRONMENT

The GDP growth rate struggled out of the 1.7% reported in 2008 to end at a modest 3.2% in 2009. The slowdown on growth was as a result of the unstable political environment, global financial crisis and poor weather resulting in poor harvests and famine for majority of Kenyan households. The manufacturing sector saw a modest growth rate driven by high food prices.

Month on month inflation at the end of the financial year was running at 18%, a rate much lower than the previous twelve months. Purchasing power of consumer goods, including sugar had been eroded. The grim economic performance and outlook will continue to impact on business performance, ours included.

THE WORLD SUGAR SITUATION

The global sugar market is facing significant supply stress. A combination of long term events, such as reform of Europe's sugar regime, the Brazil sugar/ethanol balancing policy and adverse weather conditions in India has created a supply shortfall which might run into 2010. The global deficit situation has caused a sharp rise in sugar prices. Kenya's case was exacerbated by a court case blocking imports from COMESA countries. However, the court case was resolved and it is expected that 270,000MT of COMESA sugar will come into the country before February 2010.

EFFECTS OF REGIONAL TRADE

Expiry of the COMESA safeguard measures is fast approaching. The anticipated reforms in the sugar sector are yet to be felt.

(i) Whereas the government has initiated measures towards privatization of the state owned mills, the privatization process has not kicked off in earnest. The effects of the global financial recession coupled with generally diminished investor appetite may make it challenging to sell the targeted mills.

(ii) Sucrose based payment is yet to be implemented. Payment is still based on cane weight rather than sucrose content. The recent price directives have seen farmers agitating for higher payments for weight delivered. This is not sustainable in the long run hence the need to fast truck the desired reforms.

(iii) Sugar importation is still not clearly regulated. The sugar import auction rules have not made the situation any better. Undeclared sugar continues to come into the country through the Mombasa port and the porous Kenya/Somali border.

The effect of the above scenario is that the country is not fully prepared for the expiry of the COMESA safeguard measures. The influx of duty free sugar into the country will make Kenyan sugar less competitive due to the current high production costs. There is need for the government to focus its efforts on the survival initiatives for the sugar sector.

As part of the Company's preparedness, the co-generation project was successfully completed and commissioned. The Company is now exporting 26MW of electricity to the national grid. The full benefits of the project will be realized once the financing loan from PROPARCO is repaid in full.

COMPANY PERORMANCE

The company processed 2,161,031 tonnes of sugar cane which was 10% lower than the previous year. Sugar produced was 231,014 tonnes which was 13% below that produced the previous year. This was as a result of the unforeseen challenges in the supply of cane and factory performance.

AGRICULTURAL ACTIVITIES

The period under review was challenging in terms of crop performance and general farming environment.

Cane yields dropped to 65 tonnes/ha on the Nucleus Estate and 68 tonnes/ha on the outgrower farms. This drop was majorly attributable to excessive arson which saw the company lose a total of 2,000 Ha of cane on the Nucleus estate and 5,000 Ha on the outgrower fields. Severe dry conditions were experienced towards the end of the financial year. As a result cane growth was lower than normal and this could impact the 2009/2010 cane performance. The magnitude of the impact is still difficult to determine now.

Poaching of MSC contracted cane continues to be a major concern. Most of the cane is poached and sold to jaggeries and surrounding sugar mills. A number of interventions have been put in place to curb this vice but the efforts have not yielded much. Loss of cane to such poachers does not only diminish our cane supply but also leads to financial losses of money invested in the development of such cane.

Cane cutters went on strike demanding for a pay increase. This did not only affect our operations but increased our operating costs.

Some disturbances were experienced in the second half of the year. The disturbances were caused by agitation and incitement of growers by politicians and the agitation was based on demand of cane price of Ksh 2,500 which the government had announced.

MSC responded to the incitements through a series of workshops to educate growers and other stakeholders on the Sugar Act which stipulates that cane price be determined based on the prevailing sugar price through a pricing formula provided in the Act. Through these meetings, growers began to accept relationship between price of cane and price of sugar. The year closed with a high sugar cane price of 2,652 Ksh/tonne due to improved sugar prices. Arising from this agitation, several farmers uprooted their cane and opted for other crops.

Road network continued to suffer from heavy rains and reduced maintenance levels. The company maintained a total of 187.50 km of roads in outgrower areas and 20 km within the Nucleus Estate.

Agricultural overheads were considerably high. The main contributing factor was the escalating cost of cane transportation due to increasing fuel prices. Cane transport contributes the highest percentage of cane supply overheads. Management has taken keen initiatives that will see a significant reduction in the agricultural overheads.

FACTORY PERFORMANCE

The year was quite challenging for the factory. Milling of burnt cane had negative effects on the smooth running of the plant. Problems were encountered throughout the year. Although factory time efficiency was down to 89.21% against an expectation of 92%, overall time efficiency was at a very low 74.72% against an expectation of 86%.

The unsteady cane supply in the second quarter occasioned by political interference impacted on the factory run as there was reduced throughput and unplanned stoppages.

Commissioning of the cogeneration project had some effects on the sugar plant as balancing energy demands for the two plants proved to be quite a challenge and was more difficult than anticipated. The problems have been overcome and the two plants are now running efficiently.

The Cogeneration Project

There were substantial delays in project completion caused mainly by the effects of the civil commotion that followed the disputed election and some delays on the civil structures construction. The project thus got delayed from expected commissioning date of November 2008 to April 2009 when it was substantially ready for commissioning. The actual commissioning started in the month of May 2009 with initial power being taken into the National Grid on 11th May 2009. Commissioning of the Transmission line and Sub-station also was done at the same time.

Turbine Generator

Power Substation at Mumias

Whereas the projected income from the project was not realized due to the abovementioned delays, the successful completion and commissioning of the project is a celebrated milestone in the history of the company.

SALES PERFORMANCE

A total of 239,137 tonnes of sugar was sold during the period under review. This was 93% of the previous year's 256,000 tonnes. A total of 2,453 tonnes was sold under the (African Caribbean Protocol) ACP against a target of 2,668 tonnes. Exports within the East Africa region was stopped as per the directive from the Minister of Agriculture in September 2008.

The period saw a significant decrease in imported sugar from COMESA due to a court injunction. However, some sugar continued to be smuggled into the country through the porous Kenya/Somalia border albeit in small quantities.

The global sugar supply shortfall led to increase in sugar prices globally.

HUMAN RESOURCES

Human capital is the most important resource for the success of the business. The Company has continuously maintained a strong Human Resource base with skilled and competent workforce for achievement of the company's objectives. Staff establishment as at 30.6.2009 stood at 1,547 permanent employees and 153 contract employees making a total of 1,700 employees as compared to 1,606 permanent and 129 contract employees totaling 1,735 as at 30.6.2008.

The company employees have remained steadfast, committed and patriotic to the company. Work stoppages experienced in the second half of the year were occasioned by cane cutters and cane delivery boycotts influenced by external incitement. During this period, our employees demonstrated total commitment and loyalty to the Company. It is this commitment that has continued to drive the Company's performance and improvement. We commend our employees for their efforts despite the very challenging environment in which we operate.

Training and Development

The provision of competent skills is critical for the success of the business and talent management continues to be one of the major areas of focus. In order to cope up with emerging knowledge and skill requirements in various disciplines within the business, selected employees in Agriculture, ICT and Factory departments were sponsored for training courses in South Africa, India and Brazil respectively. A total of 822 employees were trained in various skills in house, in country and overseas.

Performance Management Framework

The company has continued to embrace the performance management framework as a basis for rewarding staff and identifying areas of improvement in line with our business focus.

Industrial Relations

The relationship between management and the employees' union has been harmonious with the usual consultations on the Collective Bargaining Agreement (CBA) and welfare matters. During this period, management and the Kenya Union of Sugar Plantation Agricultural Workers (KUSPAW) signed a new Collective Bargaining Agreement. The unionisable employees were awarded a wage increase of 24% over the next two years.

We have continued to implement the new labour laws as required by law, with the biggest challenge to full implementation being higher operational costs.

Employee Welfare

The company continues to offer welfare facilities and medicare to employees and eligible dependants to ensure a healthy and motivated Human Capital. We have also continued to provide housing to our employees and recreational facilities such as clubs and the sports facilities to enhance social welfare.

Employees join Mt. Elgon residents in 100,000 Trees for Peace

In an effort to provide quality education facilities for the employees and other stakeholders' children, the company has provided an enabling environment that has seen Booker Academy produce the best KCPE (std 8) results in 2008 with the best candidate in western province who was also the 2nd best in the country and the best candidate in KCSE (form IV) in western province who was 9th overall in the country. The school received the Kenya Shell Education Excellence Award 2008 for producing the 2nd best girl KCPE candidate in the country and the President's Award Kenya in recognition for community work.

Health and Safety

The Company is committed to ensuring the Health and Safety of its employees. We recognize the need to minimize any risk that the operations may pose to the entire workforce. During the period under review, safe working procedures were reviewed and implemented which resulted in no fatal accidents to employees and a general reduction in accident occurrences.

Environmental Management

The Company is committed to upholding high standards of environmental conservation and management as per the statutory requirements. During the year 98,000 tree seedlings were planted in line with the company's afforestation programme, while biodiversity was promoted to ensure continued existence of flora and fauna in our operations.

Corporate Communications

The company maintained stakeholder communication utilizing various channels to create awareness and dissemination of information on corporate direction, achievements and challenges. Channels that were developed and maintained during the period included quarterly publications, briefings and the corporate website and intranet.

Corporate Social Responsibility

The Company participated in various community programs through its Corporate Social Responsibility (CSR) program. The Matawa Bridge and Nabongo Cultural Centre projects sponsored by MSC were officially opened by the Prime Minister, Hon. Raila Odinga in December 2008. The company also officially opened the Shibale Water project. The water project is part of the company's efforts to support the local community health by availing clean water and also contribute to alleviation of water scarcity.

The company donated foodstuffs, beddings to several farmers who were rendered homeless after fires destroyed their homes.

The company contributed and employees participated in the re-afforestation of Mt Elgon dubbed "100,000 Trees For Peace" in April 2009.

Awards and Recognition

The company received the following awards:

- Africa Investors Awards 2008
- COYA Awards – Excellence in Environmental Management Practices
- 2008 Kenya Revenue Authority – distinguished tax payer

INFORMATION TECHNOLOGY

The Company continues to enjoy benefits emanating from the completion of the various ICT projects. During the period under review, focus was directed towards tracking and reporting of business benefits of the implemented systems. This is aimed at ensuring that investments in ICT infrastructure and systems will continue to yield expected benefits to the business.

Other projects completed during the period under review included SAP interfacing to other systems, School Management System, internet website (www.mumias-sugar.com), internal intranet, Mobile Office, and Business Continuity Planning. The use of the website is aimed at improving the corporate image of the Company and communication with external stakeholders.

QUALITY MANAGEMENT SYSTEM

The Company has developed a Quality Management System that conforms to ISO 9001:2008 Standard. The Certification was renewed for a further three years effective 1 November 2008 following a successful re-certification audit conducted by Kenya Bureau of Standards (KEBS). All key operations are covered in the scope of certification.

BUSINESS EXPANSION OPPORTUNITIES

In order to grow the business, management is considering various business opportunities including the following.

Water Bottling Plant

The company is exploring opportunities of setting up a water-bottling plant from the excess water derived from the co-generation plant operations.

Greenfield Operations

The company is committed to diversification of its operations since different environments pose different risks and opportunities. Some of the key risks include overreliance on rain-fed cane development and over- reliance on small grower farms as a source of cane. Following the successful completion of a feasibility study for an integrated sugar project in the Tana River delta in collaboration with Tana and Athi River Development Authority (TARDA) and conclusion of the legal and regulatory issues, the company is in the process of identifying sources of funds and partners so that the project can commence. It is encouraging to note that the government has also embarked on similar irrigation projects and is encouraging Public-Private Partnerships.

Acquisitions

The government is in the process of privatizing the state-owned sugar mills as part of the sugar sector reforms.

The Company will evaluate the opportunities available in acquisition of some of the mills for synergies and continued growth.

Ethanol production

The increased interest and use of bio-fuels globally as a replacement for fossil fuels has been strengthened by the erratic global oil prices. Use of bio-fuels is part of initiatives directed towards reduction of environmental pollution and stemming of global warming. This has created more interest in ethanol, making it a more profitable product. The Company has the capacity to produce up to 22 million litres of ethanol annually from molasses, a by- product of sugar production. A feasibility study has been completed on the viability of setting up an Ethanol Plant in Mumias and ways of implementing the project are being explored.

CONCLUSION

The management and employees of MSC are committed to growing the business. The Company's future prospects are bright. The Company is indeed stable and, as management, we shall continue to harness and direct our efforts in utilization of available opportunities. Adequate initiatives have been lined up to sustain profitability and growth of your Company. We look upon our shareholders and all stakeholders to support our efforts. The operating environment has become very challenging. However, all factors remaining as planned, we look forward to a better performance in the coming year.

Thank you

Dr. Evans Kidero
Managing Director

MSC assists cane fire disaster victims in Kaludeka and Musokoto

Ripoti ya Meneja Mkurugenzi

Meneja Mkurugenzi

DR EVANS KIDERO

Nina furaha kutoa ripoti ya matokeo ya kampuni kwa kipindi cha mwaka 2009.

MAZINGIRA YA BIASHARA

Kiwango cha ukuaji uchumi kilijikakamua kutoka kiango cha asilimia 1.7 (1.7%) kilichoripotiwa mwaka 2008 na kumalizika kwa asilimia 3.2 (3.2%) mwaka 2009.

Kiwango cha chini cha ukuaji uchumi kilitokana na mazingira hafifu, kuzorota kwa kiwango cha uchumi duniani na hali mbaya ya hewa na kupelekea kuwepo kwa mavuno mabaya na njaa kwa wakenya wengi.

Sekta ya viwanda ilishuhudia kiwango cha wastani cha ukuaji kilichochochewa na ongezeko la juu la bei ya vyakula. Mfumuko wa bei za bidhaa mwezi baada ya mwezi kufikia mwisho wa kipindi cha mwaka wa biashara ulikuwa umefikia asilimia 18 (18%) kiwango ambacho kilikuwa ni cha chini ikilinganishwa na miezi kumi na miwili ya mwanzo. Uwezo wa kununua bidhaa kwa matumizi ikiwemo sukari umezorota. Kwa mtazamo, Ukuaji hafifu wa uchumi na utazidi kuathiri matokeo ya biashara ikiwemo hii yetu.

SOKO LA SUKARI ULIMWENGUNI

Soko la sukari ulimwenguni linakumbana na shinikizo kali la usambazaji. Mchanganyiko wa matukio ya muda mrefu kama vile mabadiliko katika mfumo wa sukari ulaya, sera ya usawazishaji wa sera ya uzalishaji sukari na *ethanol* nchini Brazil pamoja na hali mbaya ya hewa nchini India zimepelekea kushuka kwa uzalishaji wa bidhaa ya sukari jambo linaloweza kuendelea hadi mwaka 2010. Punguko la kimataifa la sukari limesababishwa na ongezeko la mara moja la bei za sukari. Swala la Kenya lilichochewa na kesi iliyowasilishwa mahakamani kuzuia uingizaji wa bidhaa kutoka mataifa ya COMESA. Hata hivyo, kesi hii iliamuliwa na inatarajiwa kwamba tani metriki 270,000 kutoka mataifa ya COMESA zitaingizwa nchini kabla ya mwezi Februari mwaka 2010.

ATHARI ZA BIASHARA KATIKA KANDA

Muda wa kumalizika masharti yaliyowekewa soko la COMESA unakaribia haraka. Mabadiliko yanayotazamiwa kupatikana katika sekta ya sukari yanatarajiwa kuonekana.

i) Huku serikali ikibuni hatua zinazolenga ubinafsishaji wa viwanda vinavyomilikiwa na serikali, hatua za hii haijaanza kutekelezwa kama ilivyotarajiwa. Athari za kuzorota kwa uchumi duniani zikiandamana na kukosekana kwa hamu ya uwekezaji zinaweza kutoa changamoto kuuzwa viwanda lengwa.

ii) Malipo yanayoegemewa kiwango cha sukari yanasubiri kuzinduliwa. Kwa sasa, Malipo haya yanazidi kuegemea uzito wa miwa badala ya kiwango cha sukari. Mwongozo mpya wa hivi majuzi kuhusu bei umewafanya wakulima kudai malipo ya juu kwa uzito uliowasilishwa. Hali hii haiwezi kustahimiliwa kwa muda mrefu na kwa sababu hiyo kuna haja ya kuharakisha kufanyika kwamabadiliko yanayohitajika.

iii) Uagizaji wa sukari bado haujasimamiwa vyema. Masharti ya mnada wa soko la uuzaji sukari hayajafanya hali hii kuwa bora. Sukari ambayo chanzo chake hakijulikani inazidi kuingizwa nchini kupitia bandari ya Mombasa na maeneo ya mpaka mwa Kenya na Somali.

Athari zake ni kwamba taifa halijajiandaa kikamilifu baada ya kukamilika kwa masharti yaliwekewa soko la biashara la COMESA. Kuingia kwa wingi kwa sukari isiyotozwa ushuru nchini kutanya ile ya hapa kutokabiliana vyema na ushindani kutokana na gharama za sasa za uzalishaji. Kuna haja kwa serikali kuelekeza juhudi zake katika mikakati ya kufufua sekta ya sukari.

Kama sehemu ya juhudi za kampuni kujiandaa, mradi wa pamoja wa uzalishaji ulikamilika kikamilifu na kuzinduliwa. Kwa sasa, kampuni ina uwezo wa kuuza Megawati 26 kwenye hifadhi ya umeme ya kitaifa. Manufaa kamili ya mradi huu yatashuhudiwa mara tu mkopo wa ufadhili kutoka PROPARCO utakapolipwa kikamilifu.

MATOKEO YA KAMPUNI

Kampuni ilizalisha tani 2, 161, 031 ya miwa kiasi ambacho kiilikuwa asilimia 10(10%) chini ikilinganishwa na mwaka uliopita. Sukari iliyozalishwa ilikuwa tani 231, 014 kiasi ambacho kilikuwa asilimia 13 (13%) chini ikilinganishwa na mwaka uliotangulia. Hali hii ilitokana na changamoto ambazo

Ripoti ya Meneja Mkurugenzi (Kuendelea)

hazikutarajiwa kuhusiana na uzalishaji wa miwa na matokeo ya kiwanda.

SHUGHULI ZA KILIMO

Kipindi kinachongaziwa kilikuwa na changamoto kutokana na mazao ya mimea na kwa jumla mazingira ya kilimo.
Uzalishaji wa miwa ulishuka kwa tani 65 kwa hekta katika mashamba ya Nucleus Estate na tani 68 kwa hekta katika mashamba ya outgrower. Kushuka huku kulisababishwa na utekezaji makusudi wa miwa ambao ulisababisha kampuni kupoteza jumla ya hekta 2,000 za miwa katika mashamba ya Nucleus na hekta 5,000 katika mashamba ya outgrowerna hali ya kiangazi kikali kilichoshuhudiwa mwishoni mwa kipindi cha mwaka wa matumzi ya pesa.Kwa sababu hiyo, kivuno cha miwa kilikuwa wa chini kuliko kiwango cha kawaida na hali hii ingeweza kuathiri matokeo ya uzalishaji miwa mwaka 2009/2010. Hata hivyo, Itakuwa vigumu kukadiria athari zake kwa sasa.

Uviziaji miwa kwenye mashamba ya kandarasi unazidi kuleta shauku kubwa. Miwa nyingi inazidi kuviziwa na kuuziwa watengenezaji sukari nguru na wasagaji miwa walio karibu.
Mbinu 10 za kukabiliana na hali hii zimewekwa lakini juhudi hizi hazijafua dafu pakuwa. Tabia hii ya waviaziaji haididimishi tu mahitaji yetu ya miwa lakini pia inapelekea kupotea kwa mtaji uliowekezwa kwa maendeleo ya miwa kama hii.
Wakataji wa miwa walifanya mgomo kudai nyongeza ya malipo. Hali hii haikuathiri tu shughuli zetu lakini iliongeza gharama za utekekelezaji.

Kulikuwa na usumbufu ulioshuhudiwa kipindi cha pili cha mwaka uliotokana na uchochezi na shinikizo kwa wakulima kutoka kwa wanasiasa kudai malipo ya shilingi 2,500 ambayo serikali ilikuwa imetangaza. Kampuni ya sukari ya Mumias ilijibu uchochezi huo kupitia kufanyika kwa warsha mbali mbali ili kutoa mafunzo kwa wakuzaji na washika dau wengine kuhusu sheria za sukari ambazo zinafafanua kwamba bei ya miwa inafaa kuamuliwa kwa kuzingatia bei za sukari zilizoko kwa mujibu wa wa sheria. Kupitia mikutano hii, wakulima walianza kukubali uhusiano ulioko baina ya bei ya miwa na bei ya sukari. Mwaka huu ulimalizika huku bei ya juu ya sukari ikiimarika na kuwa shilingi 2, 652 kwa tani.

Participants in an MSC stakeholder engagement meeting at St Mary's Hospital Hall

Kutokana na uchochezi huu, wakulima kadhaa waling'oa miwa yao na kuamua kupanda mimea mingine.

Huduma za uchukuzi wa barabara zilizidi kuathirika kutokana na mvua na kupunguza uwezekano wa kukarabatiwa. Kampuni ilidumisha jumla ya kilomita 187.50 za barabara katika mashamba ya Outgrower na nyingine 20 ndani ya Nucleus.
Gharama za uendeshaji shughuli za kilimo zilikuwa juu. Hii ilitokana na kupanda kwa gharama za uchukuzi wa miwa zilizosababishwa na kupanda kwa bei za mafuta. Huduma za usafarishaji miwa huchangia asilimia kubwa ya gharama za juu za ununuzi wa miwa. Usimamizi unazingatia pakubwa mikakati ambayo itahakikisha kupunguka kwa kiwango kwa gharama za kilimo.

SHUGHULI ZA KIWANDANI

Mwaka huu kiwanda kilipata changamoto nyingi. Usagaji miwa iliyochomeka uliathiri utekelezaji wa shughuli za kawaida kiwandani. Matatizo haya yalishuhudiwa mwaka mzima. Ingawa matokeo ya uzalishaji kiwandani yalipungua kwa asilimia 89.1 (89.1%) ikilinganishwa na makadirio ya asilimia 92 (92%), matokeo ya jumla yalikuwa ni ya kiwango cha chini cha asilimia 74.72 (74.72%) dhidi ya makisio ya asilimia92 (92%).

Upokeaji miwa kipindi cha pili ulioathiriwa na uchochezi wa kisiasa uliathiri shughuli za kiwanda kwani kulikuwa na upungufu na usitishaji ambao haukuwa umepangwa. Katika mwezi Februari kipindi hiki, matatizo fulani yalishuhudiwa wakati kiwanda kiliposimamisha shughuli zake baada ya kuharibika.

Uzinduzi wa mradi wa pamoja wa uzalishaji kawi ulikuwa na athari fulani katika kiwanda cha sukari. Usawazishaji wa mahitaji ya kawi katika viwanda viwili ulileta changamoto na ulikuwa mgumu kuliko ilivyodhaniwa. Hata hivyo, matatizo haya yamesuluhishwa na kwa sasa viwanda vyote viwili vinafanya kazi kama inavyostahili.

Mradi wa pamoja wa uzalishaji kawi.
Kulikuwa na uchelewashaji wa ukamilishaji mradi uliosababishwa na mizozo ya kijamii iliyotokana na ghasia za uchaguzi. Hivyo, tarehe ya uzinduzi iliyopangwa kuwa Novemba 2008 ilichelewa hadi Aprili 2009 wakati mradi ulikuwa tayari kufunguliwa. Uzinduzi kamili ulianza mwezi Mei huku kiasi cha kwanza cha nguvu za umeme kikisambazwa katika hazina ya kitaifa mwezi Mei 11, 2009. Uzinduzi wa laini za usambazaji na kituo kidogo ulifanyika wakati huu.

Huku mapato yaliyotarajiwa kutokana na mradi yakikosa kutokana na ucheleweshwaji uliotajwa hapo juu, ukamilishaji na uzinduzi wa mradi huu ni hatua ndefu katika historia ya kampuni.

MAUZO

Jumla ya tani 239, 137 za sukari ziliuzwa katika kipindi kinachoangaziwa. Mauzo haya yaliwakilisha asilimia 89 dhidi ya tani 270,000 zilizolengwa kuuzwa. Jumla ya Metriki tani 2, 453 za sukari ziluzwa chini ya mkataba wa ACP dhidi ya makisio ya metriki tani 2, 668. Mauzo ya nje eneo la Afrika Mashariki yalisimamishwa kutokana na agizo lililotolewa na waziri wa Kilimo Mwezi Septemba mwa 2008.

Kipindi hiki kilishuhudiwa upungufu mdogo wa uagizaji wa sukari kutoka mataifa ya COMESA kutokana na kesi iliyowasilishwa mahakamani. Hata hivyo, kiwango kidogo cha sukari kiliendelea kuingizwa nchini kupitia maeneo ya mipaka mwa Kenya na Somalia.

Kupungua kwa uzalishaji wa sukari kimataifa kulipelekea kupanda kwa bei za bidhaa hii ulimwenguni.

KITENGO CHA UAJIRI WA WAFANYAKAZI

Binadamu ni raslimali muhimu kwa ufanisi wa biashara. Kampuni imezidi kuhifadhi kitengo imara cha wafanyakazi walio na ujuzi na ushindani ili kuafikia malengo yake.

Kufikia mwezi Juni 30, 2009 kipindi cha mwaka unaoangaziwa, idadi ya wafanyakazi wa kudumu ilikuwa 1, 547 na wanakandarasi 153 na kufanya jumla ya waajiriwa wote kufikia 1,700 ikilinganishwa na 1,606 wa kudumu na 129 wa kandarasi ambao jumla yao ilikuwa 1,735 kufikia Juni 30, 2008.

Wafanyakazi wa kampuni wamekuwa thabiti, waliojitolea na waaminifu kwa kwake. Usitishaji wa mara kwa mara wa kazi ulioshuhudiwa kipindi cha pili cha mwaka ulisababishwa na migomo ya uchochezi kutoka nje ya wakataji miwa na wahudumu wa usafirishaji miwa. Wakati wa kipindi hiki, wafanyakazi wetu walidhihirisha kujitolea kikamilifu na kuonyesha uaminifu wao kwa kampuni. Ni kutokana na kujitolea huku ambapo kampuni imezidi kuimarisha matokeo yake. Tunawapongeza wafanyakazi wetu kutokana na juhudi zao licha ya mazingira magumu tunayotekelezea shughuli zetu.

Utoaji mafunzo na maendeleo.
Utoaji wa mafunzo ya kitaaluma ni muhimu kwa ufanisi wa biashara huku uimarishaji wa maarifa ukizidi kuwa sehemu inayoangaziwa sana. Ili kukabiliana na elimu na mahitaji mapya katika nyanja mbali mbali za kibiashara, wafa nyakazi kadhaa kutoka vitengo vya kilimo, teknolojia ya mawasiliano na kiwanda walidhaminiwa kwenda Afrika Kusini, India na Brazil mtawal kupokea mafunzo zaidi. Wakati wa kipindi hiki, jumla ya wafanyakazi 822 walipokea mafunzo kuhusu taaluma mbali mbali kiwandani, nchini na nje.

Mkakati wa usimamizi wa matokeo
Kampuni inazidi kuzingatia mkakati wa usimamamizi wa matokeo kama kigezo cha kuwazawadia wafanyakazi wake na kutambua maeneo yanayohitaji kuimarishwa kwa mujibu wa mipango ya biashara yetu.

Uhusiano kibiashara
Kupitia mashauriano ya kawaida, uhusiano baina ya usimamizi na chama kinachowakilisha maslahi ya wafanyakazi umekuwa mzuri. Wakati wa kipindi hiki, usimamizi na KUSPAW walitia sahihi makubaliano mapya. Wafanyakazi hawa ambao ni wanachama wa chama, walitunukiwa nyongeza ya mshahara ya asilimia 24 (24%) kwa muda wa miaka mwili ijayo.

Tunazidi kutumia sheria mpya za wafanyakazi kama inavyohitajika kisheria. Hata hivyo, changamoto kuu imekuwa matumizi kamili ya mwongozo wa sheria mpya za wafanyakazi ambao utaashiria matumizi makubwa ya pesa.

Maslahi ya wafanyakazi
Kampuni inazidi kutoa huduma za matibabu kwa watumishi wake na wanaohitaji misaada ili kuhakikisha kuwepo kwa wafanyakazi wenye ari na nguvu. Tunazidi kutoa huduma za makao na burudani kwa wafanyakazi wetu kama vile vilabu na uwanja wa michezo ili kuhamasisha maslahi ya kijamii.

Katika juhudi zake za kutoa vifaa vya hali ya juu vya elimu kwa wafanyakazi wake na watoto wa washika dau wengine,kampuni imeandaa mazingira bora ambayo yameshuhudia shule ya Booker Academy ikipata matokeo ya kufana sana kwenye mtihani wa darasa la nane nchini mwaka 2008 huku ikitoa mwanafunzi bora zaidi mkoani magharibi ambaye pia alikuwa wa pili nchini. Kwa jumla, mwanafunzi bora zaidi kwenye mtihani wa kidato cha nne mkoani magharibi alikuwa wa tisa nchini. Shule hii ilipokea tuzo la juu la masomo la mwaka 2009 kutoka kampuni ya Kenya Shell na jingine la utambuzi la Rais kutokana na juhudi zake kuwajibikia jamii.

Afya na Usalama
Kampuni imejitolea kuhakikisha kuwepo kwa Afya na usalama miongoni mwa wafanyakazi wake. Tunatambua umuhimu wa kupunguza hatari ambazo zinaweza kusababishwa na shughuli zetu kwa wafanyakazi wote. Katika kipindi tunachoangazia, hatua za kuimarisha usalama zilichunguzwa upya na kuzinduliwa na kupelekea kutokuwepo kwa ajali zozote za kutisha kwa wafanyakazi.

Usimamizi wa mazingira
Kwa mujibu wa masharti ya kisheria, ampuni imejitolea kuunga mkono viwango vya juu vya uhifadhi na usimamizi wa mazingira. Wakati wa kipindi hiki cha mwaka, miche 98,000 ya miti ilipandwa kwa mujibu wa mpango wa kampuni wa kupanda miti huku mazingira ya mimea na viumbe yakihifadhiwa na kuhakikisha kuzidi kuwepo kwa mazingira ya maua na mkusanyiko wa wanyama maeneo haya.

Mawasiliano ya kampuni
Kampuni ilihifadhi mawasiliano na washika dau kwa kutumia mbinu mbali mbali kutoa ufahamu na habari kuhusu mwelekeo, mafanikio na changamoto zake. Mbinu zilizobuniwa na kuhifadhiwa wakati wa kipindi hiki zilikuwani pamoja na uchapishaji wa jarida la kila baada ya miezi mitatu, utoaji maelezo mafupi pamoja na matumizi ya wavuti na mtandao wa ndani.

Wajibu wa kampuni kwa jamii
Kampuni ilishiriki shughuli mbali mbali kupitia mpango wake wa kuiwajibikia jamii. Daraja la Matawa na kituo cha utamaduni cha Nabongo vyote ambavyo vinadhaminiwa na MSC vilifunguliwa rasmi na Mhe. Waziri Desemba 8, 2009. Kampuni ilifungua rasmi mradi wa maji wa Shibale. Mradi huu wa maji ni mojawapo wa juhudi za kampuni kuimarisha Afya ya jamii ya wakazi wa hapa kwa kupata maji safi na kumaliza uhaba wake.

Kampuni ilitoa mchango wa chakula na malazi kwa wakulima kadhaa walioachwa bila makao baada ya moto kuteketeza makao yao. Kampuni ilitoa mchango wake huku wafanyakazi wake wakishiriki zoezi la upanzi miti eneo la mlima Elgon chini ya mwito "*100,000 trees for peace*" mwezi Aprili.

Tuzo
Kampuni ilipokea matuzo yafuatayo.
(i) Tuzo la uwekezaji Afrika la mwaka 2008
(ii) Tuzo la kampuni bora ya mwaka (COYA) – kuhusu usimamizi bora wa mazingira
(iii) Tuzo la mwaka 2008 la Halmashauri ya ukusanyaji mapato: yaani, Kenya Revenue

Authority /Fire Awards.

TEKNOLOJIA YA HABARI NA MAWASILIANO

Kampuni inazidi kufurahia manufaa yanayotokana na kukamilishwa kwa miradi mbali ya habari na mawasiliano. Wakati wa kipindi tunachoangazia, mwito ulielekezwa kutathmini na kuripoti manufaa ya uzinduzi wa mifumo ya mawasiliano. Hii inakusudiwa kuhakikisha kwamba uwekezaji kwenye muundo msingi wa habari na mawasiliano utazidi kuleta manufaa yanayotarajiwa kibiashara. Miradi mingine iliyokamilika wakati wa kipindi hiki tunachoangazia ilikuwa ni pamoja na kuunganishwa kwa mtambo wa SAP na mifumo mingine, mfumo wa usimamizi shule, wavuti wa

MSC Road Maintenance equipment improving infrastructure intanenti (www.mumias-sugar.com), mawasiliano ya ndani ya intanenti, huduma ya ofisi ya kutembea na kuwahudumia wakulima nyanjani na mpango wa kuendeleza biashara. Matumizi ya wavuti yanakusudiwa kuimarisha taswira ya kampuni na pia mawasiliano na washika dau kutoka nje.

Booker Primary pupils in a creative music and dance activity

USIMAMIZI BORA

Kampuni imebuni mfumo wa usimamizibora unaoafikiana na kiwango cha hati ya ubora ya ISO 9001:2008. Hati ya ubora ilitolewa tena kwa kipindi cha miaka mitatu mingine kuanzia Novemba 1, 2008 baada kufanyika kwa ukaguzi wa kutolewa hati mpya ulioendeshwa na Halmashauri inayokadiriwa ubora wa bidhaa –KEBS- . Shuhguli zote muhimu zinasimamiwa na hati hii.

UPANUZI WA BIASHARA

Ili kupanua biashara zake, usimamizi unaangazia nafasi zifuatazo kibiashara; zikiwemo:

Mradi wa kutengeneza maji

Kampuni inafanya utafiti wa kufungua kiwanda cha ili kutengeneza maji ya ziada yanayopatikana kutokana na mradi wake wa pamoja wa kiwanda.

Shughuli za upanzi wa mimea

Kampuni imejitolea kupanua shughuli zake kutokana na mazingira tofauti kukumbwa na majanga na nafasi mbali mbali. Baadhi ya hatari muhimu ni pamoja na kutegemea zaidi maendeleo yanayotokana na mvua na pia mashamba madogo kama chanzo cha kupata miwa. Kufuatia kukamilika vyema kwa utafiti kuhusu mradi wa pamoja wa upanzi miwa eneo la Tana Delta, maswala ya kisheria na masharti yanayohitajika, sasa, kampuni imo kwenye hatua za kutafuta mbinu kupata mtaji kutoka kwa washirika ili kuzindua mradi huu. Ni jambo la kufurahisha kuona kwamba serikali imerejelea miradi kama hii ya unyunyizaji maji, jambo linalotia moyo ushirikiano baina ya umma na makundi ya kibnafsi.

Umiliki

Kama sehemu moja ya kufanyia mabadiliko sekta ya sukari, Serikali imo kwenye hatua ya kubinafsisha viwanda inavyomiliki. Kampuni itakadiria upya nafasi zilizoko kumiliki baadhi ya viwanda kujiimarisha na kuendelea kukua.

Uzalishaji wa ethanol

Kuendelea kwa mahitaji ya matumizi ya mafuta yanayotokana na mabaki ya malighafi badala ya mafuta yanayotokana na mabaki ya viumbe ulimwenguni, kumeongezwa nguvu na kupanda kwa bei za mafuta. Huu ni mkakati utakaopunguza uchafuzi wa mazingira na kupunguza joto. Hali hii imepelekea kuwepo kwa haja kubwa ya matumizi ya *ethanol* na kuifanya kuwa bidhaa yenye faida kubwa.

Kampuni ina uwezo wa kuzalisha hadi lita milioni 22 za *ethanol* kila mwaka kutokana na molasi ambayo ni bidhaa inayopatikana kutoka kwa uzalishaji wa sukari. Utafiti uliofanywa umekamilika kuhusu uwezekano wa kufunungua kiwanda cha kutengeneza *ethanol* mjini Mumias na mbinu za uzinduzi mradi zinazidi kuchunguzwa.

MWISHO

Wasimamizi na wafanyakazi wa MSC wamejitolea kuimarisha biashara. Matumaini ya siku za usoni ya kampuni ni ya kutia moyo. Hakika, kampuni ni imara nasi kama wasimamizi tutazidi kujitahidi na kuelekeza juhudi zetu kupitia nafasi zilizoko. Mikakati kabambe imewekwa kuhifadhi faida na ukuaji wa kampuni yenu.

Tunawategemea wanahisa wetu na washika dau wote kuunga mkono juhudi zetu. Mazingira ya utendaji kazi yamekumbwa na changamoto nyingi. Hata hivyo maswala yote yakibakia kama yalivyopangwa, twatarajia kupata matokeo mema mwaka unaokuja.

Asanteni

Dkt. Evans Kidero
Meneja Mkurugenzi

APPROACH TO CORPORATE GOVERNANCE

Mumias Sugar Company Ltd (MSC) and its Board of Directors are committed to achieving the highest standards of corporate governance and acknowledge that this is essential to creating and building sustainable value for shareholders. The main corporate governance practices in respect to 2009 are detailed in this statement. The Board of Directors and entire management have committed themselves to act honestly, ethically, diligently and in accordance with the law in serving the interests of MSC's shareholders, employees, customers and the communities in which MSC operates. MSC will endeavour and continue to uphold good corporate governance practices.

Role and Responsibilities of the Board of Directors

The Board operates in accordance with the broad principles set out in its Charter.

The implementation of corporate strategy and day to day management of MSC's affairs are delegated to management, however the Board retains specific responsibility for:

- reviewing and approving systems of risk management, internal control and compliance, codes of conduct, continuous disclosure and legal compliance;
- reviewing and approving major capital expenditure, capital management, acquisitions and divestitures;
- any matters which exceed the authority limits delegated to the Managing Director;
- reviewing and approving business plans and budgets, including the setting of performance objectives;
- monitoring the company's operational and financial position and performance;
- approving the company's financial and accounting policies and financial statements;
- monitoring compliance with control and accountability systems, regulatory requirements and ethical standards;
- approving the financial and other reporting mechanisms for adequate, accurate and timely information being provided to the Board;
- approving processes, procedures and systems to ensure that financial results are appropriately and accurately reported on a timely basis;
- reviewing executive succession planning and development;
- approving the acquisition, establishment, disposal or cessation of any significant business of the company;
- approving the issue of any securities in the company;
- approving any public statements which reflect significant issues of company policy or strategy;
- approving changes to the discretions delegated from the Board; and
- deciding on any matters which exceed the authority limits delegated to the Managing Director.

Board Composition

Directors are elected by the Shareholders based on the skills and experience they are able to bring to Board deliberations on current and emerging issues. In addition, the Board seeks to ensure that the size of the Board as well the blend of skills within its membership, is conducive to effect discussion and efficient decision making.

In accordance with the company's Memorandum and Articles of Association, one third of the Directors are required to retire from office annually. The Directors have developed and adopted a policy on the appointment, tenure and retirement of Directors.

Director Independence

The Board recognises the importance of independent judgement in the decision making process. The Board's Charter expressly requires that the majority of the Board be comprised of independent Directors and that the Chairman be an independent Director.
Applying the above criteria, the Board considers that all non-executive directors are independent.

Managing Director

The Managing Director is MSC's most senior employee. The Managing Director recommends policy, strategic direction and business plans for Board approval and is responsible for managing the company's day-to-day activities. The Managing Director is appointed by the Board and is subject to an annual performance review by the Board.

Director Orientation

Directors undergo an induction process upon appointment during which they are given a full briefing on the company. This includes meetings with key executives, tours of operational sites and presentations. Thereafter, in order to assist Directors to maintain an appropriate level of knowledge of the company and its operations, Directors undertake site visits and are provided with regular updates and briefings on current and emerging issues.

Board Meetings

The Board convenes on average of four formal meetings per year, including one meeting dedicated primarily to strategic planning. The agenda, frequency and length of meetings are determined by the Chairman in consultation with the Managing Director. The Chairman manages the conduct of meetings and strives to ensure open and constructive discussion between Board members and between the Board and management. Ad hoc Board and committee meetings may be convened to consider particular matters.

In addition, the various Board Committees meet at least three times each year to discuss various issues on the position of the company and the performance of management.

Company Secretary

Emily K. Otieno is MSC's Company Secretary. This position is responsible for:

- advising the Board on corporate governance principles;
- management of the company secretarial function;
- attending all Board and Board committee meetings and taking minutes; and
- communication with the Capital Markets Authority and the Nairobi Stock Exchange.

Committees of the Board

To assist in the execution of its responsibilities and to allow detailed consideration of complex issues, the Board has established the following sub-committees:

- Human Resources and Strategy Committee;
- Tender Committee; and
- Audit Committee.

Each committee is comprised wholly of independent, non-executive Directors. The structure and membership of these committees are reviewed periodically. Each committee has its own policy setting out its role and responsibilities, composition, structure, membership requirements and the manner in which the committee is to operate. Unless expressly delegated by the Board to one of its committees, all matters determined by committees are submitted to the full Board as recommendations for Board decision.

The Human Resources and Strategy Committee

The Human Resources and Strategy Committee's responsibility is to provide assistance and recommendations to the Board to assist it in fulfilling its corporate governance responsibilities relating to:

- overall development and direction of the company's strategy and policies;
- overall remuneration strategy of the company, its development, review and implementation;
- remuneration of executives and non-executive Directors;
- evaluation of the performance of the Managing Director and senior executives;
- succession planning for key roles; and
- assessment, composition and succession of the Board.

The Committee has the resources and authority appropriate to discharge its duties and responsibilities, including the authority to engage external professionals on terms it determines appropriate.

Board Tender Committee

MSC is a highly capital intensive company. The Board Tender Committee has the responsibility of ensuring that procurement practices are aligned so as to deliver value for expenditure incurred on agreed business strategy.

The Board Tender Committee is composed of four non-executive Directors and the Managing Director is an ex-official member of the Committee. The deliberations of the Committee on procurement issues are guided by the policies and limitation that have been defined in the Procurement Manuals. The policies and guidelines are aimed at delivering value to the business by conforming to accountability, efficiency & effectiveness, integrity, fairness, responsibility and transparency. The Board Tender Committee is accountable to the Board.

The Audit Committee

The Committee is guided by a charter which requires that all members of the Committee be financially literate and have an appropriate understanding of the industries in which the company operates.

The overall purpose of the Audit Committee is to protect the interests of the company's shareholders and other

stakeholders by overseeing processes in respect of:

- integrity of financial reporting;
- adequacy of the control environment;
- process for the management of risk; and
- internal and external audit functions.

Risk Assessment and Management

The Board, with assistance from the Audit Committee, is responsible for ensuring there are adequate processes and policies in place to identify, assess and mitigate risk. MSC has implemented a formal Enterprise Risk Management program which establishes structured risk management processes, as well as ensuring that risk management concepts and awareness are embedded into the culture of the organisation. This program includes the involvement of senior executives, as well as the engagement of external risk management consultants as necessary.

The key elements of MSC's risk management program are:

- classification of risks into strategic, financial, operational, compliance, information and project risks;
- the quantification and ranking of risk events consequences;
- the process to capture and document high level risks;
- a comprehensive management representation program which involves a detailed hierarchy of signoffs on a wide range of risk issues;
- the assignment of clear accountabilities for identified risk issues to appropriate senior employees;

- comprehensive regular reporting to the Board and senior management on key areas of safety, environment, treasury and exchange, legal matters and major projects;
- policies and procedures to address key internal controls;
- the development of a company wide intranet based risk management database for communicating and updating progress on risk matters;
- a comprehensive insurance program.

Audit Function

The company's current external auditors are Deloitte and Touche .

Securities Trading Policy

If Directors, officers and employees of the company intend to buy or sell the company's securities (shares, options, warrants etc), they must do so in accordance with the company's Securities Trading Policy.

Under the Securities Trading Policy, Directors and employees are prohibited from trading in the company's securities if they are in possession of price sensitive information which is not generally available to the market. In addition to this general prohibition, all employees and Directors are prohibited from buying or selling securities in the company during the period from the end of the financial year or half financial year to the time of the release of the annual or half year results. In addition, the employees must declare to the Company Secretary that they hold interest in the securities of the company.

Continuous Disclosure

In accordance with the Company's Articles of Association, the shareholders of the company elect Directors during the annual general meeting. During this meeting shareholders have the opportunity to express their views, ask questions about company business and vote on other items of business for resolution by shareholders at the Annual General Meeting.

The Company Secretary is responsible for communication with the Nairobi Stock Exchange and the Capital Markets Authority (CMA). This role includes responsibility for ensuring compliance with the continuous disclosure requirements of the CMA.

Report of the Directors

The directors present their report together with the audited financial statements of the company for the year ended 30 June 2009.

PRINCIPAL ACTIVITIES

The principal activities of the company are manufacturing and distribution of sugar and the production and sale of electricity.

RESULTS

	Shs'000
Profit before taxation	1,193,161
Taxation credit	416,811
Profit for the year transferred to retained earnings	1,609,972

DIVIDENDS

The directors recommend a first and final dividend of Sh 0.40 per share (2008: Sh 0.40) totalling Shs 612 million (2008: Shs 612 million) in respect of the year.

PRODUCTION

The following are the comparative statistics of cane processed and sugar production for the last five years:

	Cane Processed (Tonnes)	Sugar production (Tonnes)
2009	2,161,031	231,014
2008	2,408,141	265,263
2007	2,118,563	217,200
2006	2,450,548	265,819
2005	2,348,019	269,184

NUCLEUS ESTATE AND OUTGROWERS

The company's nucleus estate under cane, measuring approximately 3,722 (2008 – 3,755) hectares, provides an average of about 6% of the total cane processed annually.

At 30 June 2009, there were 84,567 (2008 – 81,789) registered outgrowers, with 62,818 (2008 – 59,410) hectares of land under cane.

DIRECTORS

The directors who served during the year are shown on page 4.

In accordance with article 113, Messrs Edwin Osundwa, James Chege, Francis Kigen and Alinoor Hassan will retire by rotation. Messrs James Chege and Francis Kigen being eligible, offer themselves for re-election.

AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with Section 159 (2) of the Kenya Companies Act.

BY ORDER OF THE BOARD

Secretary

28 August 2009

Statement of Directors' Responsibilities

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the company as at the end of the financial year and of the operating results of the company for that year. It also requires the directors to ensure that the company keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.

DIRECTOR **DIRECTOR**

28 August 2009 28 August 2009

Deloitte.

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INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MUMIAS SUGAR COMPANY LIMITED

Report on the Financial Statements

We have audited the accompanying financial statements of Mumias Sugar Company Limited, set out on pages 33 to 70 which comprise the company balance sheet as at 30 June 2009 and the income statement, statement of changes in equity and cash flow statement for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' Responsibility for the Financial Statements
The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditors' Responsibility
Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the company's preparation and fair presentation of the financial statements in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the company's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion
In our opinion, the accompanying financial statements give a true and fair view of the state of financial affairs of the company as at 30 June 2009, and of the company's profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Report on Other Legal Requirements
As required by the Kenyan Companies Act, we report to you, based on our audit that:

i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
ii) in our opinion proper books of account have been kept by the company, so far as appears from our examination of those books; and
iii) the company's balance sheet and income statement are in agreement with the books of account.

Deloitte & Touche

Certified Public Accountants (Kenya)

28 August 2009
Nairobi

Partners: D.M. Ndonye F. 0. Aloo H. Gadhoke* N.R. Hira* B.W. Irungu J.M. Kiane D.M. Mbogho A.N. Muraya J. Nyang'aya S.O. Onyango J.W. Wangai
*British
Member of Deloitte Touche Tohmatsu

Income Statement

	Note	2009 Shs'000	2008 Shs'000
REVENUE	3	11,791,708	11,970,101
FAIR VALUE LOSS ON BIOLOGICAL ASSETS	17	(53,487)	(16,140)
OPERATING INCOME		11,738,221	11,953,961
COST OF SALES		(8,427,253)	(7,688,437)
GROSS PROFIT		3,310,968	4,265,524
OTHER OPERATING INCOME		102,712	101,691
MARKETING AND DISTRIBUTION COSTS		(827,382)	(1,091,503)
ADMINISTRATIVE EXPENSES		(1,039,264)	(1,119,680)
OTHER OPERATING EXPENSES		(462,608)	(489,936)
FINANCE INCOME	4(a)	299,892	20,814
FINANCE COSTS	4(b)	(191,157)	(97,706)
PROFIT BEFORE TAXATION	5	1,193,161	1,589,204
TAXATION CREDIT/(CHARGE)	7	416,811	(375,367)
PROFIT FOR THE YEAR		1,609,972	1,213,837
EARNING PER SHARE - BASIC & DILUTED	8	Shs 1.05	Shs 0.79
DIVIDEND PER SHARE – final (proposed)	9	Shs 0.40	Shs 0.40

Balance Sheet 30 June 2009

	Note	2009 Shs'000	2008 Shs'000
ASSETS			
Non current assets			
Property, plant and equipment	10	12,098,452	9,279,504
Intangible assets	11	50,234	81,690
Development costs	12	135,969	135,969
Non current receivables	14	79,128	74,067
		12,363,783	**9,571,230**
Current assets			
Inventories	16	796,096	1,086,254
Biological assets	17	189,501	188,132
Trade and other receivables	18	3,262,935	2,630,991
Taxation receivable	7(c)	396,032	-
Collateral deposit	20	272,892	194,084
Cash and bank balances		182,381	474,639
		5,099,837	4,574,100
Non current assets held for sale	21	12,095	7,246
		5,111,932	**4,581,346**
Total assets		**17,475,715**	**14,152,576**
EQUITY AND LIABILITIES			
Equity			
Share capital	22	3,060,000	3,060,000
Revaluation surplus		1,687,251	1,827,343
Retained earnings		5,292,218	4,154,154
Shareholders' equity		**10,039,469**	**9,041,497**
Non current liabilities			
Deferred income tax liability	23	1,238,710	1,655,521
Provision for service gratuity	24(a)	16,597	8,071
Deferred grant income	25	37,786	49,391
Long term borrowings	26	2,382,814	-
		3,675,907	**1,712,983**
Current liabilities			
Borrowings	26	897,397	1,027,600
Trade and other payables	27	2,509,110	1,838,272
Provision for service gratuity	24(a)	4,454	5,455
Provision for staff leave pay	28	28,157	22,128
Taxation payable	7(c)	-	200,235
Unclaimed dividends	29	321,221	304,406
		3,760,339	3,398,096
Total equity and liabilities		**17,475,715**	**14,152,576**

The financial statements on pages 33 to 70 were approved by the board of directors on 28 August 2009 and were signed on its behalf by:

John V. Bosse
James G. Chege
} Directors

Statement of Changes in Equity

	Share capital Shs '000	Revaluation surplus Shs '000	Retained earnings Shs '000	Total Shs '000
At 1 July 2007	1,020,000	2,065,794	5,251,866	8,337,660
Profit for the year	-	-	1,213,837	1,213,837
Final dividend declared - 2007	-	-	(510,000)	(510,000)
Bonus share issue	2,040,000	-	(2,040,000)	-
Transfer of excess depreciation for prior year	-	(85,385)	85,385	-
Transfer on disposal of equipment	-	(12,922)	12,922	-
Transfer of excess depreciation	-	(205,743)	205,743	-
Deferred tax on excess depreciation	-	65,599	(65,599)	-
At 30 June 2008	**3,060,000**	**1,827,343**	**4,154,154**	**9,041,497**
At 1 July 2008	3,060,000	1,827,343	4,154,154	9,041,497
Profit for the year	-	-	1,609,972	1,609,972
Final dividend declared - 2008	-	-	(612,000)	(612,000)
Transfer on disposal of equipment	-	(84)	84	-
Deferred tax transferred on disposal of equipment	-	25	(25)	-
Transfer of excess depreciation	-	(200,047)	200,047	-
Deferred tax on excess depreciation	-	60,014	(60,014)	-
At 30 June 2009	**3,060,000**	**1,687,251**	**5,292,218**	**10,039,469**

The revaluation surplus represents the net cumulative surplus arising from revaluation of property, plant and equipment net of depreciation and deferred taxation. The revaluation surplus is non-distributable.

Cash Flow Statement

	Note	2009 Shs'000	2008 Shs'000
OPERATING ACTIVITIES			
Cash generated from operations	30(a)	2,092,973	1,707,489
Interest paid		(224,550)	(47,013)
Interest received		294,218	20,814
Other finance charges paid		(3,150)	(8,611)
Taxation paid	7(c)	(596,267)	(217,486)
Net cash generated from operating activities		**1,563,224**	**1,455,193**
INVESTING ACTIVITIES			
Additions to property, plant and equipment	30(d)	(3,162,559)	(1,847,275)
Additions to intangible assets	11	(11,333)	-
Proceeds on disposal of property, plant and equipment		-	2,584
Proceeds on disposal of non-current assets held for sale		745	6,314
Development expenditure on TARDA project		-	(135,969)
Net cash used in investing activities		**(3,173,147)**	**(1,974,346)**
FINANCING ACTIVITIES			
Dividend paid	29	(595,185)	(492,447)
Loans received	30(b)	2,824,693	730,000
Loans repaid	30(b)	(1,210,000)	(151,396)
Net cash generated from financing activities		**1,019,508**	**86,157**
DECREASE IN CASH AND CASH EQUIVALENTS		**(590,415)**	**(432,996)**
BALANCE AT BEGINNING OF THE YEAR		**193,108**	**626,104**
BALANCE AT END OF THE YEAR	**30(c)**	**(397,307)**	**193,108**

Notes to the Financial Statements

1 PRINCIPAL ACCOUNTING POLICIES

Statement of compliance

The financial statements are prepared in accordance with International Financial Reporting Standards.

Adoption of new and revised International Financial Reporting Standards

(i) Standards and interpretations effective in the current period

The following new interpretations issued by the International Financial Reporting Interpretations Committee and new and revised standards are effective in the current period:

- IFRIC 12, Service Concession Arrangements (effective for accounting periods beginning on or after 1 January 2008);
- IFRIC 13, Customer Loyalty Programmes (effective for accounting periods beginning on or after 1 July 2008);
- IFRIC 14, IAS 19 – The Limit on a Defined Benefit Asset, Minimum Funding Requirements and their interaction (effective for accounting periods beginning on or after 1 January 2008);
- IFRIC 16, Hedges of a Net Investment in a Foreign Operation (effective for accounting periods beginning on or after 1 October 2008);
- IAS 39, Financial Instruments: Recognition and Measurement, Reclassification of financial assets (effective from 1 November 2008); and
- IFRS 7, Financial Instruments: Recognition and Measurement, Consequential disclosures arising from October 2008 amendments to IAS 39 (effective from 1 November 2008).

Adoption of the other interpretations and standards has not led to any changes in the company's principal accounting policies.

(ii) Impact of the standards and interpretations effective in the current period

IFRIC 14, 'IAS 19 – The Limit on a Defined Benefit Asset, Minimum Funding Requirements and their interaction'

IFRIC 14, IAS 19 – The Limit on a Defined Benefit Asset, Minimum Funding Requirements and their interaction was issued in September 2007 and was effective for annual periods beginning on or after 1 January 2008.

IFRIC 14 addresses the interaction between a minimum funding requirement and the limit placed by IAS 19 on the measurement of the defined benefit asset or liability. When determining the limit on a defined benefit asset, entities will be required to measure any economic benefits available to them in the form of refunds or reductions in future contributions at the maximum amount that is consistent with the terms and conditions of the plan and any statutory requirements in the jurisdiction of the plan.

(iii) New and revised standards and interpretations in issue but not yet effective

At the date of authorisation of these financial statements, the following revised standards and interpretations were in issue but not yet effective:

- IFRIC 15, Agreements for the construction of Real Estate (effective for accounting periods beginning on or after 1 July 2009);
- IFRIC 17, Distributions of Non-cash Assets to Owners (effective for accounting periods beginning on or after 1 July 2009);

1 *PRINCIPAL ACCOUNTING POLICIES (continued)*

(iii) New and revised standards and interpretations in issue but not yet effective (continued)

- IFRIC 18, Transfers of Assets from Customers (effective for accounting periods beginning on or after 1 July 2009);
- IFRS 1, First-Time Adoption of International Financial Reporting Standards – Amendment relating to cost of an investment on first-time adoption (effective for accounting periods beginning on or after 1 July 2009);
- IFRS 3, Business Combinations – Comprehensive revision on applying the acquisition method (effective for accounting periods beginning on or after 1 July 2009);
- IFRS 7, Financial Instruments: Disclosures – Amendments enhancing disclosures about fair value and liquidity risk (effective for annual periods beginning on or after 1 January 2009).
- IFRS 8, "Operating Segments", replaces IAS 14, "Segment reporting", and requires a management approach under which segment information is presented on the same basis as that for internal reporting purposes (effective for accounting periods beginning on or after 1 January 2009);
- IAS 1 (Revised), Presentation of Financial Statements : Comprehensive revision including requiring a statement of comprehensive income, Amendments relating to disclosure of puttable instruments and obligations arising on liquidation (effective for accounting periods beginning on or after 1 January 2009);
- IAS 23 (Revised), Borrowing Costs: Comprehensive revision to prohibit immediate expensing of borrowing costs relating to qualifying assets for which the commencement date of capitalisation is on or after 1 January 2009 (effective for accounting periods beginning on or after 1 January 2009);
- IAS 27, Consolidated and Separate Financial Statements: Consequential amendments arising from amendments to IFRS 3 (effective for accounting periods beginning on or after 1 January 2009).
- IAS 28, Investments in Associates: Consequential amendments arising from amendments to IFRS 3 (effective for accounting periods beginning on or after 1 July 2009);
- IAS 31, Interests in Joint Ventures: Consequential amendments arising from amendments to IFRS 3 (effective for accounting periods beginning on or after 1 January 2009);
- IAS 32, Financial Instruments: Presentation: Amendments relating to puttable instruments and obligations arising on liquidation (effective for accounting periods beginning on or after 1 January 2009); and
- IAS 39, Financial Instruments: Recognition and Measurement: Amendments for eligible hedged items (effective for accounting periods beginning on or after 1 July 2009); and,
- IAS 39, Financial instruments; Recognition and Measurement; Amendments for embedded derivatives when reclassifying financial instruments.

"Improvements to IFRSs" was issued in May 2008 and April 2009 and their requirements are effective over a range of dates, with the earliest effective date being for annual periods beginning on or after 1 July 2009. These improvements comprise a number of amendments to IFRSs, which resulted from the IASB's annual improvements project. The improvement do not result in significant changes in the company's accounting policies.

(iv) Impact of the new and revised standards and interpretations in issue but not yet effective

The following standards will be of considerable relevance to the financial statements of the company, when effective:

IAS 1 (Revised), 'Presentation of financial statements'

IAS 1 (Revised), 'Presentation of financial statements' was issued in September 2007 and will be effective for annual periods beginning on or after 1 July 2009.

The revised standard introduces the concept of a statement of comprehensive income, which enables users of the financial statements to analyse changes in a company's equity resulting from transactions with owners separately from non-owner changes.

All non-owner changes in equity will be required to be shown in a performance statement, but provides the option of presenting items of income and expense and components of other comprehensive income either as a single statement of comprehensive income or in two separate statements, the income statement and statement of comprehensive income.

1 *PRINCIPAL ACCOUNTING POLICIES (continued)*

(iv) Impact of the new and revised standards and interpretations in issue but not yet effective (continued)

The previous version of IAS 1 used the titles 'balance sheet' and 'cash flow statement' to describe two of the statements within a complete set of financial statements. The revised IAS 1 uses 'statement of financial position' and 'statement of cash flows' respectively for those statements.

IFRS 8 "Operating Segments"

IFRS 8, "Operating Segments", which replaces IAS 14, "Segment reporting", was issued in November 2006 and will be effective for annual periods beginning on or after 1 January 2009. The new standard is based on the management approach and the company's internal reporting of segment information to the entity's chief operating decision maker. The new standard will enable investors to assess the company's business performance from the same perspective used by the management in making decisions about operating matters.

IAS 23 (Revised,) "Borrowing Costs"

IAS 23 (Revised), "Borrowing Costs" was issued in March 2007 and will be effective for accounting periods beginning on or after 1 January 2009. The revised standard removes the previously allowed option of expensing of borrowing costs relating to qualifying assets for which the commencement date of capitalisation is on or after 1 January 2009.

The company's current policy is to capitalise borrowing costs incurred on qualifying assets and as such is already in compliance with the revised standard.

The IASBs annual improvements process deals with non-urgent, minor amendments to standards.

Basis of preparation

The financial statements are prepared on the historical cost basis of accounting as modified to include the revaluation of certain assets.

Revenue recognition

Sale of sugar and molasses are recognised upon delivery of products to customers and are stated net of Value Added Tax, Sugar Development Levy and discounts. Sugar Development Levy does not apply to export sugar and molasses sales. Value Added Tax does not apply to export sugar sales as well as sales to exempted entities.

Electricity sales are recognised based on kilowatt hours (KWH) of power exported to the national grid.

Interest income is accrued on a time basis, by reference to the principal outstanding at the effective interest rate applicable.

All other income earned by the company is recognised on the accruals basis.

Foreign currencies

Assets and liabilities expressed in foreign currencies are translated into Kenya Shillings at the rates of exchange ruling at the balance sheet date. Transactions during the year are translated at the rates ruling at the dates of the transactions. Gains and losses on exchange are dealt with in the income statement.

Borrowing costs

Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset are capitalised as part of the cost of that asset. Other borrowing costs are recognised as an expense in the period in which they are incurred. Exchange

1 PRINCIPAL ACCOUNTING POLICIES (continued)

Borrowing costs (continued)

differences arising from foreign currency borrowings are recognised as borrowing costs to the extent that they are regarded as an adjustment to interest costs.

Research and development expenditure

Expenditure on research activities is recognised as an expense in the period in which it is incurred. An internally generated intangible asset arising from development (or from the developmental phase of an internal project) is recognised if and only if, all of the following have been demonstrated:

- the technical feasibility of completing the intangible asset so that it will be available for use or sale;
- the intention to complete the intangible asset and use or sell it;
- the ability to use or sell the intangible asset;
- how the intangible asset will generate probable future economic benefits;
- the availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset; and
- the ability to measure reliably the expenditure attributable to the intangible asset during its development.

The amount initially recognised for internally – generated intangible asset is the sum of the expenditure incurred from the date when the intangible asset first meets recognition criteria listed above. Where no internally- generated intangible asset can be recognised, development expenditure is charged to the income statement in the period in which it is incurred.

Deferred grant income

Grants related to acquisition of equipment are accounted for as deferred income and are recognised in the income statement on a systematic basis over the useful life of the equipment.

Taxation

Income tax expense represents the sum of current taxation and deferred taxation.

Current taxation is provided on the basis of the results for the year as shown in the financial statements, adjusted in accordance with the tax legislation.

Deferred income taxation is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred income taxation.

Property, plant and equipment

Property, plant and equipment are stated at cost or at professionally revalued amounts less accumulated depreciation and any accumulated impairment losses.

Property, plant and equipment are revalued at periodic intervals, usually after every five years. The basis of valuation is depreciated replacement cost.

Increases in the carrying amount arising on revaluations are credited to a revaluation surplus. Decreases that offset previous increases of the same asset are charged against the revaluation surplus. All other decreases are charged to the income statement.

1 PRINCIPAL ACCOUNTING POLICIES (continued)

Property, plant and equipment (continued)

Depreciation is calculated on the straight-line method to write off the cost or the revalued amount of each asset to its estimated residual value over its estimated useful life. The annual rates used are:

Land development	2½%
Buildings	2½% - 5%
Factory plant and machinery	5% - 10%
Heavy mobile machinery	12½% - 25%
Motor vehicles	20% - 33¹/₃%
Other equipment and fixtures	12½% - 33¹/₃%

The annual depreciation on the revaluation surplus element of property, plant and equipment is transferred from the revaluation surplus to retained earnings.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amounts and are taken into account in determining the profit before taxation. On disposal of revalued assets, amounts in the revaluation surplus relating to that asset are transferred to retained earnings.

The carrying values of property, plant and equipment are reviewed annually and adjusted for impairment where it is considered necessary.

Intangible assets

Intangible assets comprise the cost of acquired computer software programmes. Expenditure on acquired computer software programmes is capitalised and amortised using the straight-line method over their estimated useful lives, generally not exceeding three years. The carrying amount of intangible assets is reviewed annually and adjusted for impairment where it is considered necessary. Intangible assets are not revalued.

Inventories

Finished sugar and molasses inventories are stated at the lower of production cost and net realisable value. Production cost comprises expenditure directly incurred in the manufacturing process and an allocation of normal production overheads attributable to the process. Net realisable value represents the estimated selling price less all estimated costs of completion and costs to be incurred in marketing, selling and distribution.

Sugar in process is stated at half the production cost of finished sugar.

Spares, fertilisers, chemicals and other consumable stores are stated at cost net of provisions for obsolescence where applicable. Cost is calculated on the weighted average cost basis and includes the purchase price, import duties and other taxes (other than those subsequently recoverable by the company from the taxation authorities), and transport, handling and other costs directly attributable to the acquisition of the item.

Biological assets

Biological assets (cane plantations) and agricultural produce (harvested cane) are stated at their fair values less estimated point-of-sale costs.

The fair value of growing cane is determined based on the present value of expected net cash flows. The fair value of harvested cane is determined based on the prices of cane existing in the market less point-of-sale costs.

1 PRINCIPAL ACCOUNTING POLICIES (continued)
Biological assets (continued)

Immature growing cane is valued at cost.

Non current assets held for sale

Non-current assets are classified as held for sale if their carrying amount will be principally recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset is available for sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification. Non-current assets classified as held for sale are measured at the lower of the asset's previous carrying amount and the fair value less costs to sell.

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the company as a lessee. All other leases are classified as operating leases.

Company as a lessor

Rental income from operating leases is recognised on the straight line basis over the term of the relevant lease.

Company as a lessee

Rentals payable under operating leases are charged to income on the straight-line basis over the term of the relevant lease. Any payment required to be made to the lessor by way of penalty, for termination of leases before the expiry of the lease period, is recognised in the year in which termination takes place.

Payments to acquire leasehold interests in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

Cash and cash equivalents

For the purpose of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months of maturity when acquired; less advances from banks repayable within three months from the date of the advance.

Financial instruments

Financial assets and financial liabilities are recognised in the company's balance sheet when the company becomes a party to the contractual provisions of the instrument.

Financial assets

The company classifies its financial assets into the following categories: Financial assets at fair value through profit or loss; loans and receivables; held- to- maturity investments; and available-for-sale assets. Management determines the appropriate classification of its investments at initial recognition.

Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management.

1 PRINCIPAL ACCOUNTING POLICIES (continued)
Financial instruments (continued)

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the company provides money, goods or services directly to a debtor with no intention of trading the receivable. The company's trade and other receivables fall under this category.

Held to maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has the positive intention and ability to hold to maturity. Where a sale occurs other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available –for- sale. The collateral deposit falls under this category.

Available-for-sale financial assets

This category represents financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held to maturity.

Recognition

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method. Gains and losses arising from changes in the fair value of "financial assets at fair value through profit or loss" are included in the income statement in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised directly in equity, until the financial asset is derecognised or impaired, at which time the cumulative gain or loss previously recognised in equity is recognised in the income statement.

Derecognition

Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or where the company has transferred substantially all risks and rewards of ownership.

Financial liabilities

Financial liabilities are classified as either financial liabilities 'at fair value through profit or loss' or 'other financial liabilities'. Financial liabilities are initially measured at fair value plus, in the case of a financial liability not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition or issue of the financial liability. Financial liabilities are derecognised when the obligation specified in the contract is discharged or cancelled or expire.

Financial liabilities at fair value through profit or loss

This category has two sub-categories: Financial liabilities held for trading and those designated at fair value through profit or loss at inception. A financial liability is classified as 'at fair value through profit or loss' if acquired principally for the purpose of repurchasing in the near future or if so designated by management. Financial liabilities at fair value through profit or loss are subsequently carried at fair value. Gains and losses arising from changes in the fair value of these financial assets are included in the income statement in the period in which they arise.

1 PRINCIPAL ACCOUNTING POLICIES (continued)
Financial Instruments (continued)

Other financial liabilities

Other financial liabilities, including borrowings and trade and other payables, are initially measured at fair value, net of transaction costs. Other financial liabilities are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis. The company's key other financial liabilities are:

Bank borrowings

Interest bearing loans and overdrafts are recorded at the proceeds received, net of direct costs. Finance charges, including premiums payable on settlement or redemption, are accounted for on the accruals basis and are added to the carrying amount of the instrument to the extent that they are not settled in the period in which they arise.

Trade and other payables

Trade and other payables are stated at their nominal value which approximates amortised cost.

Impairment

At each balance sheet date, the company reviews the carrying amounts of its assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset's recoverable amount is estimated and an impairment loss is recognised in the income statement whenever the carrying amount of the asset exceeds its recoverable amount. Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset in prior years. A reversal of an impairment loss is recognised immediately in the income statement, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

Retirement benefits obligations

Defined benefit pension scheme

The company operates a defined benefit post-employment pension scheme for eligible non-unionisable employees. The scheme is funded by contributions from the employees and the company.

The assets of the scheme are held and administered independently of the company's assets. The company's contribution to the scheme is charged to the income statement so as to spread the cost over the service lives of the employees. The defined benefit obligation is calculated every three years by independent Actuaries using the projected credit unit method. Actuarial gains or losses arising from experience adjustments and changes in actuarial assumptions in excess of the greater of 10% of the value of plan assets or 10% of the defined benefit obligation are charged or credited to income over the employees' expected average remaining working lives. Past-service costs are recognised immediately in the income statement, unless the changes to the pension scheme are conditional on the employees remaining in service for a specified period of time (the vesting period). In this case, the past-service costs are amortised on the straight-line basis over the vesting period.

Defined contribution schemes

The company operates a defined contribution provident fund for eligible unionisable employees. The fund is administered independently of the company's assets. It is funded by contributions from the company and employees. The company has no legal

1 PRINCIPAL ACCOUNTING POLICIES (continued)
***Retirement benefits obligations* (continued)**

or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods.

The company's contributions to the fund are charged to the income statement in the year to which they relate.

The company and its employees also contribute to the statutory National Social Security Fund, which is a defined contribution scheme. The company's obligation is limited to a specified contribution per employee per month. Currently, the contribution is limited to a maximum of Shs 200 per employee per month. The company's contributions are charged to the income statement in the year to which they relate.

Contract gratuity

The company has fixed term service contracts with some of the employees. A contract gratuity of 25% of the basic pay earned over the contract period is paid at the end of the contract. The monetary liability is accrued at the end of each year based on the completed period of service.

Employee benefits

Bonus scheme

The company operates a bonus scheme for its employees. The bonus is payable based on achievement of annual performance targets. Bonus costs are recognised upon the approval of a bonus by management.

Restructuring and rationalisation provisions

Restructuring provisions mainly comprise employee termination payments and are recognised in the period in which the company becomes legally or constructively committed to payment.

Provision for staff leave pay

A provision is made to recognise staff entitlements in respect of annual leave not taken as at the end of the financial year.

Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared.

Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year.

2 CRITICAL JUDGMENTS IN APPLYING THE ENTITY'S ACCOUNTING POLICIES

In the process of applying the entity's accounting policies, management is required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

2 CRITICAL JUDGMENTS IN APPLYING THE ENTITY'S ACCOUNTING POLICIES (continued)

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision only affects that period or in the period of the revision and future periods if the revision affects both current and future periods. These are dealt with below:

Biological assets

In determining the fair value of biological assets, management uses estimates based on historical data relating to yields and prices of sugar. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce potential differences between estimates and actual experience. The significant assumptions used are set out in note 17.

Property, plant and equipment and intangible assets

Critical estimates are made by the directors in determining the useful lives of property, plant and equipment and intangible assets. This is the basis on which the depreciation and amortization rates applied on property, plant and equipments and intangible assets respectively are based.

Impairment

Determining whether assets are impaired requires an estimation of the value of the assets.

3 REVENUE

	2009 Shs'000	2008 Shs'000
Gross sales	14,184,450	14,305,457
Less:		
Value Added Tax	(1,930,967)	(1,782,333)
Sugar Development Levy	(461,775)	(553,023)
	(2,392,742)	**(2,335,356)**
Net sales	**11,791,708**	**11,970,101**
Net sales analysed as follows:		
Sugar sales	11,676,427	11,870,162
Molasses sales	115,281	99,939
	11,791,708	**11,970,101**

4 (a) FINANCE INCOME

	2009 Shs'000	2008 Shs'000
Interest income:		
On services and inputs to farmers	277,563	13,917
On collateral deposits	9,306	540
On staff loans	6,622	6,357
On Uchumi Supermarket Limited debenture	727	-
Amortisation of MOCO loan discount (note 19(b))	5,674	-
	299,892	**20,814**

The interest income on services and inputs to farmers relates to the interest the company charges the farmers on land preparation, seed cane and fertilizers costs the company provides to them for cane establishment and development. The cost of these services and inputs and the interest accrued is deducted from the amount due to the farmer upon harvesting of the cane.

As detailed in note 19(b) the advance to MOCO is non interest bearing, has a remaining fixed term of 35 months (2008 – 47 months) and as such, has been discounted to its present value as at 30 June 2009 with the resultant amortisation credit being recorded as finance income in accordance with International Accounting Standard No 39 on Financial Instruments: Recognition and Measurement

(b) FINANCE COSTS

	2009 Shs'000	2008 Shs'000
Interest expense:		
On loans	200,526	51,709
On bank overdrafts	7,955	4,962
Amortisation of MOCO loan discount (note 19(b))	-	12,683
	208,481	69,354
Less: Amounts included in cost of qualifying assets	(200,526)	(47,127)
	7,955	22,227
Net foreign exchange losses	246,896	66,868
Less: Amounts included in cost of qualifying assets	(66,844)	-
	180,052	66,868
Other finance charges	3,150	8,611
	191,157	**97,706**

Interest costs amounting to Shs 200,526,000 (2008 – Shs 47,127,000) and exchange losses amounting to Shs 66,844,000 (2008 – nil) have been included in the cost of qualifying assets (Cogeneration project) in accordance with IAS 23 'Borrowing Costs' which allows borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset to form part of the cost of that asset.

As detailed in note 19(b) the advance to MOCO is non interest bearing, has a remaining fixed term of 35 months (2008 – 47 months) and as such, was discounted to its present value as at 30 June 2008 with the resultant amortised discount being charged to finance costs in accordance with International Accounting Standard No 39 on Financial Instruments: Recognition and Measurement.

5 PROFIT BEFORE TAXATION

	2009 Shs'000	2008 Shs'000
Profit before taxation is arrived at after:		
charging:		
Staff costs (note 6)	1,552,326	1,433,155
Depreciation of property, plant and equipment (note 10)	604,682	613,250
Amortisation of intangible assets (note 11)	42,789	42,018
Operating lease rentals (note 31)	24,673	19,111
Directors' emoluments - fees	5,200	2,971
- other	54,787	52,599
Auditors' remuneration	5,207	4,834
Bad and doubtful debts	82,854	134,010
Loss on disposal of non current assets held for sale	705	17,471
and crediting:		
Amortisation of grant income (note 25)	11,605	11,605
Gain on disposal of property, plant and equipment	-	983

6 STAFF COSTS

	2009 Shs'000	2008 Shs'000
Salaries and allowances	1,412,706	1,293,358
Pension - defined benefit scheme	56,783	55,642
Provident fund	33,030	35,505
Group life insurance cover	17,544	18,248
Staff gratuity provision	16,339	17,606
Provision for leave pay	10,441	7,253
Pension - statutory defined contribution scheme	5,483	5,543
	1,552,326	**1,433,155**

7 TAXATION

(a) Taxation (credit)/charge

	2009 Shs'000	2008 Shs'000
Current taxation based on the adjusted profit		
for the year at 30% - current year	-	633,757
- prior year overprovision	-	(13,137)
Total current taxation charge	**-**	**620,620**
Deferred taxation credit		
- current year	(411,276)	(151,781)
- prior year overprovision	(5,535)	(93,472)
Total deferred taxation credit (note 23)	(416,811)	(245,253)
	(416,811)	**375,367**

7 *TAXATION (continued)*

	2009 Shs'000	2008 Shs'000
(b) Reconciliation of expected tax based on accounting profit to taxation charge		
Accounting profit before taxation	**1,193,161**	**1,589,204**
Tax at the applicable rate of 30%	357,948	476,762
Tax effect of expenses not deductible for tax purposes	7,991	9,280
Tax effect of income not taxable	(3,482)	(4,066)
Tax effect of excess investment deduction	(773,733)	-
Prior year overprovision of deferred taxation	(5,535)	(93,472)
Prior year overprovision of current taxation	-	(13,137)
	(416,811)	**375,367**
(c) Taxation (recoverable)/payable		
At beginning of the year	200,235	(202,899)
Charge for the year	-	620,620
Paid in the year	(596,267)	(217,486)
At end of year	**(396,032)**	**200,235**

8 EARNINGS PER SHARE – BASIC & DILUTED

Earnings per share are calculated by dividing the net profit attributable to shareholders by the number of ordinary shares in issue during the year.

	2009	2008
Profit for the year (Shs'000)	1,609,972	1,213,837
Number of ordinary shares (thousands)	1,530,000	1,530,000
Earnings per share Basic & diluted (Shs)	1.05	0.79

There were no potential dilutive shares outstanding at either 30 June 2009 or 30 June 2008.

9 DIVIDEND PER SHARE

The directors recommend a first and final dividend of Shs 0.40 per share (2008 – Shs 0.40) totalling Shs 612 million (2008: Shs 612 million) in respect of the year. This dividend is subject to approval by shareholders at the Annual General Meeting and has not been recognised as a liability in these financial statements. The dividend payable is subject to withholding tax at the rate of 5%.

10 PROPERTY, PLANT AND EQUIPMENT

	Land development Shs'000	Buildings Shs'000	Factory plant and machinery Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Capital work-in-progress Shs'000	Total Shs'000
COST OR VALUATION								
At 1 July 2007	747,428	1,900,792	4,687,477	241,657	266,995	519,471	750,614	9,114,434
Additions	-	3	35,115	2,496	33,942	28,310	1,794,536	1,894,402
Transfers to assets held for sale (note 21)	-	-	(3,038)	(1,902)	(11,025)	(3,285)	-	(19,250)
Transfers from capital work in progress	175,822	-	-	-	-	-	(175,822)	-
Disposals	-	-	-	(1,223)	(6,423)	(2,759)	-	(10,405)
At 1 July 2008	**923,250**	**1,900,795**	**4,719,554**	**241,028**	**283,489**	**541,737**	**2,369,328**	**10,979,181**
Additions	-	782	41,390	11,530	3,838	20,776	3,351,613	3,429,929
Transfers to assets held for sale (note 21)	-	(442)	-	(18,735)	(3,724)	(82,411)	-	(105,312)
Transfers from capital work in progress	-	296,055	4,862,165	-	-	1,465	(5,159,685)	-
At 30 June 2009	**923,250**	**2,197,190**	**9,623,109**	**233,823**	**283,603**	**481,567**	**561,256**	**14,303,798**
COMPRISING								
Cost	179,364	307,985	5,536,578	12,971	273,985	435,653	561,256	7,307,792
Valuation – 1996	-	-	-	-	9,618	45,914	-	55,532
Valuation – 2006	743,886	1,889,205	4,086,531	220,852	-	-	-	6,940,474
	923,250	**2,197,190**	**9,623,109**	**233,823**	**283,603**	**481,567**	**561,256**	**14,303,798**

10 PROPERTY, PLANT AND EQUIPMENT (Continued)

	Land development Shs'000	Buildings Shs'000	Factory plant and machinery Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Capital work-in-progress Shs'000	Total Shs'000
DEPRECIATION								
At 1 July 2007	21,848	95,485	355,077	40,761	207,033	390,739	-	1,110,943
Charge for the year	21,848	95,767	384,338	41,821	27,728	41,748	-	613,250
Transfers to assets held for sale (note 21)	-	-	(1,168)	(790)	(11,025)	(2,729)	-	(15,712)
Eliminated on disposal	-	-	-	(459)	(6,423)	(1,922)	-	(8,804)
At 1 July 2008	43,696	191,252	738,247	81,333	217,313	427,836	-	1,699,677
Charge for the year	26,244	95,833	372,598	40,870	27,814	41,323	-	604,682
Transfers to assets held for sale (note 21)	-	(39)	-	(12,880)	(3,724)	(82,370)	-	(99,013)
At 30 June 2009	**69,940**	**287,046**	**1,110,845**	**109,323**	**241,403**	**386,789**	**-**	**2,205,346**
NET BOOK VALUE (valuation)								
At 30 June 2009	**853,310**	**1,910,144**	**8,512,264**	**124,500**	**42,200**	**94,778**	**561,256**	**12,098,452**
At 30 June 2008	879,554	1,709,543	3,981,307	159,695	66,176	113,901	2,369,328	9,279,504
NET BOOK VALUE (Cost basis)								
At 30 June 2009	**518,803**	**772,570**	**7,636,409**	**67,120**	**42,200**	**89,736**	**561,256**	**9,688,094**
At 30 June 2008	**534,077**	**500,805**	**3,014,515**	**78,789**	**66,176**	**107,304**	**2,369,328**	**6,670,994**

Property and factory plant and machinery were revalued on 30 June 2006, by Lloyd Masika, Registered Valuers and Estate Agents, on a depreciated replacement cost basis.

The balance on capital work-in-progress mainly represents expenditure on the new modern sugar packaging plant and factory expansion works that were in progress as at the balance sheet date. The transfers from capital work in progress refer to the expenditure incurred on the Co-generation plant that was completed and commissioned in June 2009 at a cost of Shs 5.16 billion (2008 – nil). Interest costs as well as exchange differences arising from borrowings (to the extent that they are regarded as an adjustment to interest costs on borrowings) attributable to the Co-generation plant and amounting to Shs 267,370,000 (2008 – Shs 47,127,000) have been capitalised in accordance with IAS 23, Borrowing Costs.

Included in factory plant and heavy mobile machinery are assets with a carrying value of Shs 37,785,628 (2008 - Shs 49,390,628) acquired under a Road Maintenance Unit package financed by the Kenya Sugar Board as disclosed on note 25 All property, plant and equipment have been charged to secure banking facilities as disclosed on note 26.

10 PROPERTY, PLANT AND EQUIPMENT (Continued)

Fully depreciated property, plant and equipment

	Cost/valuation		Normal annual depreciation charge	
	2009 Shs'000	2008 Shs'000	2009 Shs'000	2008 Shs'000
Factory plant and machinery	36,852	29,107	1,843	1,455
Motor vehicles	164,794	150,917	35,521	32,341
Other equipment and fixtures	251,392	313,864	53,075	69,704
	453,038	**493,888**	**90,439**	**103,500**

11 INTANGIBLE ASSETS

	Shs'000
COST	
At 1 July 2007 and 30 June 2008	177,188
At 1 July 2008	177,188
Additions	11,333
At 30 June 2009	188,521
AMORTISATION	
At 1 July 2007	53,480
Charge for the year	42,018
At 1 July 2008	95,498
Charge for the year	42,789
At 30 June 2009	138,287
NET BOOK VALUE	
At 30 June 2009	50,234
At 30 June 2008	81,690

Intangible assets represent computer software. At 30 June 2009, intangible assets with a cost of Shs 54,045,604 (2008 – Shs 54,045,604) were fully amortised. The normal annual amortisation charge on these assets would have been Shs 18,013,400 (2008 – Shs 18,013,400).

12 DEVELOPMENT COSTS

Development costs represent consultancy, sensitisation and environmental impact assessment costs incurred on the development of the Tana Delta Integrated Sugar Project in conjunction with Tana and Athi Rivers Development Authority (TARDA).The feasibility

12 DEVELOPMENT COSTS (continued)

study was concluded in 2007 and the project found to be economically viable and costs incurred were capitalised in accordance with IAS 38 on Intangible Assets. The amounts incurred are to be converted to equity in a company to be incorporated to run the project and in which it is envisaged that Mumias Sugar Company Limited will have the majority shareholding. The company is in the process of identifying suitable investors and financiers for the project.

13 PREPAID OPERATING LEASE RENTALS

The company owns 4,413.82 hectares of leasehold land. The value of the land is not reflected as prepaid operating lease rentals as the land was allocated to the company by the Government of Kenya at no purchase consideration. The land has been charged to secure banking facilities granted to the company as disclosed on note 26. The land development was valued on 30 June 2006, by Lloyd Masika, Registered Valuers and Estate Agents, on open market basis at Shs 500,000,000

14 NON CURRENT RECEIVABLES

	2009 Shs'000	2008 Shs'000
Staff receivables	137,022	129,008
Less: receivable within one year (included under note 18)	(57,894)	(54,941)
Receivable after one year (non-current)	**79,128**	**74,067**

Included in staff receivables is a balance of Shs 1,317,545 (2008 – Shs 5,068,000) due from a director of the company.

Included in the staff receivables balances are staff car loans amounting to Shs 126,800,880 (2008 – Shs 121,803,871) which are secured by the vehicles acquired through the loans.

The effective interest rate on staff loans during the year was 5% (2008 - 5%).

15 INVESTMENT HELD TO MATURITY

The company's trade receivable from Uchumi Supermarkets Limited (in Receivership) amounting to Shs 7,266,625 was converted to a debenture with a similar face value. The interest rate is 10% per annum. The amount is to be recoverable or converted to equity once a strategic investor is found for Uchumi Supermarkets Limited (in Receivership).

	2009 Shs'000	2008 Shs'000
Debenture	7,266	7,266
Accumulated impairment losses	(7,266)	(7,266)
	-	-

16 INVENTORIES

	2009 Shs'000	2008 Shs'000
Sugar and molasses	28,145	278,301
Sugar in process	32,771	19,423
	60,916	297,724
Mechanical and electrical spares	530,384	436,140
Fertilisers, chemicals and fuels	135,557	243,576
Other consumables	69,239	108,814
	796,096	**1,086,254**

17 BIOLOGICAL ASSETS

	2009 Shs'000	2008 Shs'000
At beginning of the year	188,132	214,011
Additions at cost	161,690	145,864
Decrease due to harvest at cost	(106,834)	(155,603)
	242,988	**204,272**
Loss arising from changes in fair value attributable to physical changes	(75,477)	(19,287)
Gain arising from changes in fair value attributable to price changes	21,990	3,147
Fair value loss during the year	**(53,487)**	**(16,140)**
Carrying amount at the end of the year	**189,501**	**188,132**

Significant assumptions made in determining the fair values of biological assets and agricultural produce are :

- The valuation is based on a market price of Shs 2,652.50 per tonne of sugar cane (2008 - Shs 2,300) .
- Cane at the age of six months and below has no reliable determinable market value and has been stated at cost. Mature cane has been stated at fair value less point of sale costs.
- The estimated sucrose content per tonne of mature cane (pol value) at various stages of growth will remain constant at between 8.9% and 12.8% depending on the age of the cane across the sugar belt.

With effect from 1st July 1988, Nucleus Estate growing cane ceased to be insured against fire as insurance companies declined to provide cover. No provision has been made in the financial statements for possible losses in the event of any burnt cane which cannot be salvaged.

18 TRADE AND OTHER RECEIVABLES

	2009 Shs'000	2008 Shs'000
Receivables from farmers for inputs and services (note 19(a))	1,694,939	1,315,386
MOCO receivables (note 19(b))	171,104	242,182
BOCO receivables (note (19(c))	11,158	26,454
Advance to Busia Sugar Company Ltd. (in Receivership)	27,959	38,823
Trade receivables	205,445	429,434
Advance payments to suppliers	424,229	257,209
KPLC receivables	296,545	6,797
Other receivables and prepayments	373,662	259,765
Staff receivables (note 14)	57,894	54,941
	3,262,935	**2,630,991**

The advance to Busia Sugar Company Ltd (in Receivership) is to be recovered through the use of the land owned by the company (Nasewa nucleus estate) over a period of 5 years. Mumias Sugar Company has a registered first charge over the land LR No Bukhayo/ Nasewa / 1500.

The KPLC receivables represents costs incurred by the company on behalf of Kenya Power and Lighting Company Limited for the construction of a transmission line between Mumias and Musaga substation in order to export power to the national grid.

19 (a) RECEIVABLES FROM FARMERS FOR SERVICES AND INPUTS

	2009 Shs'000	2008 Shs'000
Gross amount	1,794,124	1,402,187
Provision for doubtful debt	(99,185)	(86,801)
Net amount (note 18)	**1,694,939**	**1,315,386**

The company provides agricultural extension services and inputs to farmers and recovers these amounts from the amounts payable to the farmers for the harvested cane.

(b) MUMIAS OUTGROWERS COMPANY (MOCO) RECEIVABLES

	Gross amount Shs' 000	Provision for doubtful debt Shs' 000	Net 2009 Shs' 000	Net 2008 Shs' 000
Accountancy fees and agricultural extension services	251,453	(251,453)	-	-
Interest receivable from MOCO (see note below)	426,717	(298,751)	127,966	191,321
Advance to MOCO	43,138	-	43,138	50,861
TOTAL (note 18)	**721,308**	**(550,204)**	**171,104**	**242,182**

The directors have made provisions for the amounts deemed not recoverable from Mumias Outgrowers Company (MOCO) due to its inability to meet its obligations as they fall due.

19 (b) MOCO RECEIVABLES (continued)

The interest receivable from MOCO has been disputed by MOCO (see note 33).

The advance to MOCO is non-interest bearing and has therefore been discounted to its present value as at 30 June 2009 at a rate of 12% (2008 – 12%) per annum being the rate implicit in the agreement. Movements in the amortised discount amount have been credited to the income statement.

(c) BUSIA OUTGROWERS COMPANY (BOCO) RECEIVABLES

	2008 Shs'000	2007 Shs'000
Advance to BOCO	11,775	19,581
BOCO current account	(617)	6,873
Total (note 18)	**11,158**	**26,454**

The effective interest rate on BOCO advance is 12% per annum and was to be repaid in 28 equal monthly instalments from inception.

20 COLLATERAL DEPOSIT

This is a term deposit which represents a 10% advance collateral deposit on the PROPARCO International Loan Facility (note 26) that the company was required to place in a Debt Reserve Bank Account with a receiving bank (Barclays Bank of Kenya Ltd). The company increased the deposit to Shs 272,892,000 (US dollar 3.5 million) from the previous year's amount of Shs 194,084,000 (US dollar 3 million) after the last tranche of the loan of US dollar 5 million was received. The deposit earns interest at a rate of LIBOR minus 0.25%. The amount is expected to be discharged by December 2017 when the loan is fully repaid.

21 NON CURRENT ASSETS HELD FOR SALE

	Building Shs'000	Factory plant and equipment Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Total Shs'000
COST						
At 1 July 2007	-	1,344	42,052	15,104	7,008	65,508
Transferred from property, plant and equipment (note 10)	-	-	1,902	11,059	6,289	19,250
Disposals	-	-	(26,804)	(17,020)	(2,868)	(46,692)
At 1 July 2008	-	1,344	17,150	9,143	10,429	38,066
Transferred from property, plant and equipment (note 10)	442	-	18,735	3,724	82,411	105,312
Disposals	-	-	(797)	(248)	(83,724)	(84,769)
At 30 June 2009	**442**	**1,344**	**35,088**	**12,619**	**9,116**	**58,609**
DEPRECIATION						
At 1 July 2007	-	1,266	16,988	15,104	4,657	38,015
Transferred from property, Plant and equipment (note 10)	-	-	790	11,051	3,871	15,712
Eliminated on disposal	-	-	(3,332)	(17,012)	(2,563)	(22,907)
At 1 July 2008	-	1,266	14,446	9,143	5,965	30,820
Transferred from property, Plant and equipment (note 10)	39	-	12,880	3,724	82,370	99,013
Eliminated on disposal	-	-	(428)	(248)	(82,643)	(83,319)
At 30 June 2009	**39**	**1,266**	**26,898**	**12,619**	**5,692**	**46,514**
NET BOOK VALUE						
At 30 June 2009	**403**	**78**	**8,190**	**-**	**3,424**	**12,095**
At 30 June 2008	**-**	**78**	**2,704**	**-**	**4,464**	**7,246**

Assets held for sale represent assets that the company intends to dispose of within the next year in their present condition.

22 SHARE CAPITAL

	2009 Shs'000	2008 Shs'000
Authorised: 2,500,000,000 ordinary shares of Shs 2 each	5,000,000	5,000,000
Issued and fully paid: 1,530,000,000 ordinary shares of Shs 2 each	3,060,000	3,060,000

23 DEFERRED INCOME TAXATION LIABILITY

Deferred income taxes are calculated on all temporary differences under the liability method using the enacted tax rate of 30%.

	2009 Shs'000	2008 Shs'000
The net deferred taxation liability is attributable to the following items:		
Deferred tax liabilities:		
Accelerated capital allowances	2,367,925	894,459
Revaluation surpluses	723,107	783,146
Fair value adjustment - biological assets	-	30,945
Unrealised exchange gains	55,918	257
	3,146,950	**1,708,807**
Deferred tax assets:		
Provision for service gratuity	(6,315)	(4,058)
Provision for staff leave pay	(8,447)	(6,638)
Fair value adjustment - biological assets	(8,663)	-
Unrealised exchange losses	(115,319)	(14,821)
General doubtful debts provision	(38,151)	(27,769)
Tax losses available for offset against future profits	(1,731,345)	-
	(1,908,240)	(53,286)
	1,238,710	**1,655,521**

The movement on the deferred taxation account during the year was as follows:		
Balance at beginning of the year	1,655,521	1,900,774
Credit to income statement - note 7(a) – Current year	(411,276)	(151,781)
– Prior year	(5,535)	(93,472)
Balance at end of the year	**1,238,710**	**1,655,521**

Notes to the Financial Statements (Contd)

24 RETIREMENT BENEFITS OBLIGATIONS

(a) Provision for service gratuity

	2009 Shs'000	2008 Shs'000
Balance at the beginning of the year	13,526	27,900
Provision for the year	16,339	17,606
Paid during the year	(8,814)	(31,980)
Balance at the end of the year	**21,051**	**13,526**
Maturity analysis		
Within one year	4,454	5,455
After one year	16,597	8,071
	21,051	**13,526**

(b) Staff retirement defined benefit scheme

An actuarial valuation was last carried out as at 30 June 2007 by Alexander Forbes Financial Services (E.A.) Limited. An update of the valuation was carried out at 30 June 2009. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the Projected Unit Credit Method. The next actuarial valuation is scheduled for 30 June 2010.

	2009 Shs'000	2008 Shs'000
Present value of funded obligations	1,276,800	1,123,900
Fair value of scheme assets	(1,166,100)	(1,217,800)
Net underfunding in funded plan	110,700	(93,900)
Accumulated unrecognized actuarial losses	(203,500)	-
Net asset	**(92,800)**	**(93,900)**

The directors have decided, based on prudence, not to recognise the above asset.

The principal assumptions used for the purposes of the actuarial valuations were as follows:

Actuarial assumptions	2009	2008
Discount rate (% p.a)	10	10
Expected return on scheme assets (% p.a)	10	10
Future salary increases (% p.a)	8	8
Future Pension increases (% p.a)	-	-

24 RETIREMENT BENEFITS OBLIGATIONS (continued)

(b) Staff retirement defined benefit scheme (continued)

The overall expected rate of return is a weighted average of the expected returns of the various categories of plan assets held. The directors' assessment of the expected returns is based on historical return trends and analysts' predictions of the market for the asset in the next twelve months.

The actual return on plan assets was Shs 23,800,000.

Contributions to the company staff retirement defined benefit scheme are determined by the rules of the scheme and totalled Shs 56,783,000 (2008 – Shs 55,642,144) in the year.

The company expects to make a contribution of Shs 56,783,000 (2008- Shs 56,783,000) to the defined benefit plans during the next financial year.

(c) Statutory contribution scheme

The company's contributions to the statutory National Social Security Fund scheme are determined by statute and totalled Shs 5,483,000 (2008 – Shs 5,542,800) in the year.

(d) Staff provident fund

The company operates a defined contribution provident fund for eligible unionisable employees. The company's contribution in the year totalled Shs 33,030,000 (2008 - Shs 35,505,000).

The company's obligations to the staff retirement benefits plans are charged to the income statement as they fall due.

25 DEFERRED GRANT INCOME

	2009 Shs'000	2008 Shs'000
At the beginning of the year	49,391	60,996
Amortisation for the year	(11,605)	(11,605)
At the end of the year	**37,786**	**49,391**

The deferred grant income represents the unarmortised portion of funds received towards the purchase of equipment under a Roads Maintenance Unit package financed by the Kenya Sugar Board. The amortisation for the year is equivalent to the depreciation charge for the equipment purchased under the grant.

26 BORROWINGS

	2009 Shs'000	2008 Shs'000
PROPARCO International	2,700,523	-
Bank overdrafts – Kenya Commercial Bank Limited	579,688	281,531
Barclays Bank of Kenya Ltd	-	489,989
CFC-Stanbic Bank of Kenya Ltd	-	256,080
	3,280,211	**1,027,600**

The borrowings comprise:

	2009 Shs'000	2008 Shs'000
Loans (note 30(b))	2,700,523	746,069
Bank overdrafts (note 30(c))	579,688	281,531
	3,280,211	**1,027,600**

The borrowings are repayable as follows:

	2009 Shs'000	2008 Shs'000
On demand or within one year	897,397	1,027,600
Long term borrowings		
Within two and 5 years	1,588,543	-
Within 5 and 10 years	794,271	-
	2,382,814	-
Total borrowings	**3,280,211**	**1,027,600**

The bank overdrafts and other banking facilities are secured by legal charges over LR Mumias Sugar Scheme/2 and fixed and floating debentures over all of the company's assets for Shs 1,380,318,000 held by Kenya Commercial Bank Limited.

The company had undrawn committed banking facilities amounting to Shs 1,057 million (2008 – Shs 131 million). The banking facilities consist of bank overdrafts, guarantees and letters of credit.

The company obtained a US dollar 35 million loan facility from PROPARCO International and used the funds for the development of the Co-generation project. The loan was disbursed in two tranches of US dollar 30 million and US dollar 5 million attracting fixed interest rates of 6.82% and 4.82% respectively.

The principal is repayable in equal quarterly instalments over a period of 10 years commencing from September 2009. The loan is secured by a fixed charge over the Co-generation plant, receivables from the Power Purchase Agreement (PPA) signed with Kenya Power and Lighting Company Limited as well as the collateral deposit (note 20) which amounts to and should always amount to 10% of the loan disbursed as security.

26 BORROWINGS (continued)

The effective interest rates on the borrowings during the year were:	2009	2008
PROPARCO	6.53%	-
Barclays Bank of Kenya Ltd	20.34%	13.75%
Stanbic Bank of Kenya Ltd	11.00%	16.75%
Bank overdrafts	15.00%	15.00%

27 TRADE AND OTHER PAYABLES

	2009 Shs'000	2008 Shs'000
Trade payables	857,751	744,933
Prepaid sales	264,193	90,839
Accruals	796,565	222,209
Out growers	259,738	492,440
Other payables	330,863	287,851
	2,509,110	**1,838,272**

28 PROVISION FOR STAFF LEAVE PAY

	2009 Shs'000	2008 Shs'000
At the beginning of the year	22,128	19,529
Provision for the year	10,441	7,253
Paid in the year	(4,412)	(4,654)
At the end of the year	**28,157**	**22,128**

29 UNCLAIMED DIVIDENDS

	2009 Shs'000	2008 Shs'000
At beginning of the year	304,406	286,853
Final dividend declared – 2008/2007	612,000	510,000
	916,406	796,853
Dividend paid	(595,185)	(492,447)
At the end of the year	**321,221**	**304,406**

The unclaimed dividends relate substantially to dividends payable to farmer shareholders who had unresolved share certificate issues at the balance sheet date. These shares are held in trust by Kanouti Trustees.

30 NOTES TO THE CASH FLOW STATEMENT

	2009 Shs'000	2008 Shs'000
(a) Reconciliation of profit before taxation to cash generated from operations		
Profit before taxation	1,193,161	1,589,204
Adjustments:		
Finance income recognised in profit	(299,892)	(20,814)
Finance costs recognised in profit	191,157	97,706
Amortisation of MOCO loan discount (note 19b)	5,674	(12,683)
Depreciation	604,682	613,250
Amortisation	42,789	42,018
Gain on disposal of property, plant and equipment	-	(983)
Loss on disposal of non-current assets held for sale	705	17,471
Foreign exchange (losses)/gains	108,934	(66,868)
Amortisation of deferred grant income	(11,605)	(11,605)
Cash generated from operations before working capital changes	1,835,605	2,246,696
Movements in:		
Non-current receivables	(5,061)	12,014
Inventories	290,158	(567,575)
Biological assets	(1,369)	25,879
Trade and other receivables	(631,944)	(516,588)
Collateral deposit	(78,808)	(194,084)
Provision for service gratuity	7,525	(14,374)
Trade and other payables	670,838	712,922
Provision for staff leave pay	6,029	2,599
Cash generated from operations	**2,092,973**	**1,707,489**
(b) Loans movement		
At beginning of year	746,069	157,807
Received	2,824,693	730,000
Repayment of principal	(1,210,000)	(151,396)
Repayment of interest	(16,069)	(6,411)
Accrued interest	-	16,069
Exchange loss on retranslation	355,830	-
At end of the year (note 26)	**2,700,523**	**746,069**
(c) Analysis of the balances of cash and cash equivalents		
Cash and bank balances	182,381	474,639
Bank overdrafts (Note 26)	(579,688)	(281,531)
	(397,307)	**193,108**
(d) Additions to property, plant and equipment		
Additions in the year (note 10)	3,429,929	1,894,402
Less interest capitalised (note 4(b))	(200,526)	(47,127)
Less exchange losses capitalised (note 4(b))	(66,844)	-
	3,162,559	**1,847,275**

31 OPERATING LEASE ARRANGEMENTS

The company as lessee:

	2009 Shs'000	2008 Shs'000
Minimum lease payments under operating leases recognised in the income statement	24,673	19,111

At the balance sheet date, the company had outstanding commitments under operating leases, payable as follows:

	2009 Shs'000	2008 Shs'000
Within one year	24,673	19,066
In the second to fifth years inclusive	68,452	68,122
	93,125	**87,188**

Operating lease payments represent rentals payable by the company for certain of its office premises, storage facilities and cane farming. The leases are cancellable with no penalty when the company gives three months notice to vacate the premises.

The company as a lessor:

Property rental income earned during the year amounted to Shs 7,125,201 (2008 – Shs 6,849,940). At the balance sheet date, the company had contracted with tenants for the following future lease receivables.

	2009 Shs'000	2008 Shs'000
Within one year	7,125	6,507
In the second to fifth years inclusive	28,500	2,036
	35,625	**8,543**

32 CAPITAL COMMITMENTS

Commitments at the year end for which no provision has been made in these financial statements:

	2009 Shs'000	2008 Shs'000
Authorised and contracted for	38,437	1,531,677
Authorised but not contracted for	5,094,786	1,131,017
	5,133,223	**2,662,694**

The capital commitments relate primarily to expenditure on the proposed alcohol distillery plant (Shs 3.6 billion), water bottling plant (Shs 480 million) and factory modernization (Shs 237 million). These projects are meant to diversify the company's sources of revenue, cater for increased throughput and allow for automation of some of the processes which require improved instrumentation. The company intends to fund these commitments through internally generated funds, loans and overdrafts.

33 CONTINGENT LIABILITIES

A former customer has filed a claim in respect of breach of contract. A defence has been entered by the company and the case is pending in court. The directors are of the opinion that the likely liability, if any, should not exceed the provision recognised in the financial statements and the deposit with the court.

MOCO has claimed that the company has overcharged it interest of approximately Shs 3 billion since 1 January 1998. However, MOCO has not filed a claim before an arbitrator or a court of law. The directors are of the opinion that the claim is unlikely to succeed.

34 RELATED PARTY BALANCES AND TRANSACTIONS

a) Staff loans

The company operates a company car loan scheme for managerial and supervisory employees. The balance outstanding on that scheme at year end was Shs 126,800,880 (2008– Shs 121,803,871). The cars are registered in joint names of the company and the employees as security for the car loans. The interest income earned on staff loans in the year amounted to Shs 6,622,000 (2008 – Shs 6,357,000).

b) Key management compensation

The remuneration for key management during the year was as follows:

	2009 Shs'000	2008 Shs'000
Salaries and other benefits	51,881	48,549

c) Directors' remuneration

	2009 Shs'000	2008 Shs'000
Fees for services as directors	5,207	2,971
Other emoluments	54,787	52,599
	59,994	**55,570**

35 FINANCIAL RISK MANAGEMENT POLICIES

The company's activities expose it to a variety of financial risks. These activities involve the analysis, evaluation, acceptance and management of some degree of risk or combination of risks.

The company's aim is to achieve an appropriate balance between risk and return and minimize potential adverse effects on the company's financial performance. The company's financial risk management policies are designed to identify and analyse these risks, to set appropriate risk limits and controls, and to monitor the risks and at the same time ensuring adherence to laid down limits. This is achieved by means of reliable and up-to-date information systems.

The company regularly reviews its financial risk management policies and systems to reflect changes in markets and emerging best practices. Risk management is carried out by the management under the supervision of the Board of Directors. Management in conjunction with various committees then identifies, evaluates and addresses risks accordingly.

35 RISK MANAGEMENT POLICIES (Continued)

In addition, the company has an independent internal audit department which reports directly to the Board Audit Committee. This department is responsible for the independent review of risk management and the control environment.

a) Credit risk management

Due to the nature of the company's operations it is exposed to credit risk. This is the risk that a counterparty will be unable to pay amounts in full when due. The company is exposed to this risk in several areas including trade and other receivables, and cash and cash equivalents. However, the company's credit risk is concentrated mainly in advances issued to farmers in the form of farming inputs and in trade receivables in the form of sugar debtors.

The company gives advances to farmers in the form of farming inputs and services to facilitate sugarcane crop establishment and to improve the productivity of the growing crop. Advances to farmers are eventually deducted from the value of the cane delivered upon harvesting. The key risk is therefore that the yield from the crop will not be sufficient to cover the advanced credit. The company counters this risk by placing significant emphasis on the vetting and selection of farmers. This is done with the aid of comprehensive and documented criteria which includes a review of farmers' payment histories.

The company also monitors budgeted sales outputs and expected factory crushing capacity and also forecasts of expected environmental conditions to aid it in budgeting for these advances. However the existence of favorable weather conditions will always remain outside the control of the company. Political upheavals and general unrest also pose a risk to the company usually resulting in the burning of immature cane. Burning of immature cane reduces the quality and the quantity of the yield from such cane in addition to raising production costs and waste. While an element of this risk is outside the company's control, it has however sought to mitigate this risk by enhancing security in its nucleus estates. The company does not purchase burnt cane from farmers in order to discourage irresponsible burning of immature cane by farmers in order to readily obtain quick cash.

The company is in the process of expanding its operations to avoid over-reliance on the small holder out grower systems with its significant operational challenges. This is mainly through expanding to other farming areas where it can employ the mechanized plantation farming which is expected to be easier and less costly to manage, result in higher per hectare productivity and reduced operational costs hence making the business more competitive and as a result yield higher returns for the shareholders. The company has also diversified into energy production to reduce over reliance on sugar sales.

The bulk of the company's revenue relates to sugar sales. The company has a documented credit policy whose management and implementation is overseen by a Credit Committee. The Committee manages limits and controls concentrations of credit risk wherever they are identified. It structures the levels of credit risk it undertakes by placing limits on the amount of risk acceptable in relation to a debtor or categories of debtors. Such risks are monitored on a regular basis and are subject to regular reviews. Exposure to credit risk is managed through regular analysis of the ability of credit customers to meet their obligations and by adjusting the limits appropriately. The credit risk on trade receivables is further mitigated by requiring most credit customers to provide guarantees issued by reputable banks recommended by the company.

In measuring credit risk relating to trade receivables, the company therefore reflects three components:

a) the 'probability of default' by the customer or counterparty on its contractual obligations;
b) current exposures to the counterparty and its likely future development, from which the company derive the 'exposure at default'; and
c) the likely recovery ratio on the defaulted obligations.

With regard to impairment of outstanding receivables, it is the company's policy to assess/review all debts over 90 days for impairment and to provide for all debts where a debtor is declared bankrupt. In some cases where an unsecured customer is in arrears the whole amount is provided for.

35 RISK MANAGEMENT POLICIES (Continued)

***a) Credit risk management* (Continued)**

The maximum exposure to credit risk represents a worst case scenario of credit risk exposure to the company at the comparative balance sheet dates, without taking account of any collateral held or other credit enhancements attached. For on balance sheet assets, this exposure is based on net carrying amounts as reported in the balance sheet.

The collateral held for sugar debtors include guarantees from reputable banks recommended by the company. Staff debtors mainly comprise car loans advanced to members of staff. The vehicles are jointly registered in the employee and company's name and hence there is no significant exposure arising from staff receivables.

Classification of credit risk bearing assets

The table below represents the company's maximum exposure to credit risk without taking account of the value of any collateral obtained as at 30 June 2009.

	Gross amounts Shs'000	Impairment allowances Shs'000	Net amounts Shs'000	%
Neither past due nor impaired	1,009,703	-	1,009,703	27
Past due but not impaired	2,787,633	-	2,787,633	73
Impaired	790,064	(790,064)	-	-
	4,587,400	**(790,064)**	**3,797,336**	**100**

The table below represents the company's maximum exposure to credit risk without taking account of the value of any collateral obtained as at 30 June 2008.

	Gross amounts Shs'000	Impairment allowances Shs'000	Net amounts Shs'000	%
Neither past due nor impaired	2,139,587	-	2,139,587	63
Past due but not impaired	1,234,194	-	1,234,194	37
Impaired	735,957	(735,957)	-	-
	4,109,738	**(735,957)**	**3,373,781**	**100**

Of the total gross amount of impaired receivables, the following amounts have been individually assessed as impaired:

	2009 Shs'000	2008 Shs'000
Trade receivables	133,409	155,041
Debenture	7,266	7,266
MOCO receivables	649,389	573,650
	790,064	**735,957**

The customers under the neither past due nor impaired category are paying their debts as they continue trading. The default rate is low.

35 RISK MANAGEMENT POLICIES (Continued)

a) Credit risk management (Continued)

The debt that is past due but not impaired is not impaired and continues to be paid. The finance department is actively following this debt.

The debt that is impaired has been fully provided for. However, the finance department are following up on the impaired debt, through pursuit of the debtors, debt collectors as well as through legal action.

b) Market risk management

(i) Interest rate risk

Interest rate risk arises primarily from borrowings, and farmers inputs, deposits and cash and cash equivalents. The company's management monitors the sensitivity of reported interest rate movements on a monthly basis by assessing the expected changes in the different portfolios.

As at 30 June 2009, an increase/decrease of 3 percentage points on interest rates would have resulted in an increase/decrease in pre-tax profit of Shs 47,115,200 (2008 – Shs 16,589,000).

The interest rate on the US dollar 35 million PROPARCO International loan and BOCO loans are fixed thereby eliminating the interest rate risk. This has not been factored in the sensitivy analysis above.

(ii) Currency risk

The company undertakes certain transactions denominated in foreign currencies, mainly the US dollar, the Euro, Sterling Pounds and the South African Rand. This results in exposures to exchange rate fluctuations. The balances impacted in this regard are the balances due to foreign suppliers, balances due from foreign debtors, bank balances and collateral deposits denominated in foreign currency. Exchange rate exposures are managed within approved policy parameters utilising matching of assets and liabilities.

As at 30 June 2009, an increase/decrease of 5 percentage points on exchange rates would have resulted in an increase/decrease in pre-tax profit of Shs 135,026,150 (2008 – Shs 4,495,012). This risk is primarily attributed to the US dollar 35 million PROPARCO International loan.

c) Liquidity risk management

Liquidity risk is the risk that the company will not be able to meet its financial obligations when they fall due. The company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or at the risk of damaging the company's reputation.

The company ensures that it has sufficient cash on demand to meet expected operational expenses, including the servicing of financial obligations; this excludes the potential impact of extreme circumstances that cannot reasonably be predicted. All liquidity policies and procedures are subject to review and approval by the board of directors. All capital investments are funded by long term borrowings.

35 RISK MANAGEMENT POLICIES (Continued)

c) Liquidity risk management (Continued)

The table below provides a contractual maturity analysis of the company's financial liabilities:

	1 - 6 months Shs'000	6 - 12 months Shs'000	1 – 5 years Shs'000	Above 5 years Shs'000	Total Shs'000
At 30 June 2009					
Borrowings	1,144,966	241,044	1,744,916	1,250,369	4,381,295
Trade and other payables	2,312,851	-	-	-	2,312,851
Total financial liabilities (contractual maturity dates)	**3,457,817**	**241,044**	**1,744,916**	**1,250,369**	**6,694,146**
At 30 June 2008					
Borrowings	1,042,750	-	-	-	1,042,750
Trade and other payables	1,838,272	-	-	-	1,838,272
Total financial liabilities (contractual maturity dates)	**2,881,022**	**-**	**-**	**-**	**2,881,022**

36 CAPITAL RISK MANAGEMENT

The company's objectives when managing capital are:

- To match the profile of its assets and liabilities, taking account of the risks inherent in the business;
- To maintain financial strength to support business growth; and
- To safeguard the company's ability to continue as a going concern so that it can continue to provide adequate returns to its shareholders and value to all other stakeholders.

The company has a number of sources of capital available to it and seeks to optimize its debt to equity structure in order to ensure that it can consistently maximise returns to shareholders.

Capital adequacy is monitored regularly by the company's management and quarterly by the Board of Directors. The capital structure of the company consists of debt, which includes the borrowings (note 26), cash and cash equivalents and equity attributable to equity holders, comprising issued capital, reserves and retained earnings.

36 CAPITAL RISK MANAGEMENT (Continued)

	2009 Shs'000	2008 Shs'000
The gearing ratio at the year end was as follows:		
Shareholders equity	10,039,469	9,041,497
Borrowings (note 26)	3,280,211	1,027,600
Collateral deposits	(272,892)	(194,084)
Cash and bank balances	(182,381)	(474,639)
Net debt	**2,824,938**	**358,877**
Total capital	**12,864,407**	**9,400,374**
Gearing ratio	**21.96%**	**3.82%**

37 INCORPORATION

The company is domiciled and incorporated in Kenya under the Companies Act.

38 CURRENCY

These financial statements are prepared in Kenya Shillings rounded off to the nearest thousand (Shs '000).

	2004/05 Shs'000	2005/06 Shs'000	2006/07 Shs'000	2007/08 Shs'000	2008/09 Shs'000
Turnover	10,080,174	11,657,540	10,381,190	11,970,101	11,791,708
Cane purchases from outgrowers	4,163,260	4,533,676	4,216,471	5,010,627	4,923,637
Gross profit	3,785,153	4,081,549	3,587,948	4,265,524	3,310,968
Profit before taxation	1,843,381	2,219,889	1,909,894	1,589,204	1,193,161
Taxation	(553,451)	(693,274)	(516,283)	(375,367)	416,811
Profit after taxation	1,289,930	1,526,615	1,393,611	1,213,837	1,609,972
Shareholders' funds at period end	6,080,035	7,709,049	8,337,660	9,041,497	10,039,469
Gross profit margin	37.55%	35.01%	34.56%	35.63%	28.08%
Return on capital employed	30.32%	28.80%	22.91%	17.58%	11.88%
Number of shares, '000	1,530,000	1,530,000	1,530,000	1,530,000	1,530,000
Dividends	765,000	892,500	765,000	612,000	612,000
Dividends per share, Shs	0.50	0.58	0.50	0.40	0.40
Earnings per share, Shs	0.84	1.00	0.91	0.79	1.05
Direct revenue to Government by way of					
Value Added Tax and Income Tax	1,536,565	2,358,878	1,663,447	2,157,700	1,514,156
Staff costs:					
Management	651,475	729,364	722,665	734,067	907,541
Skilled	383,760	497,947	487,451	471,340	439,098
Unskilled	222,891	200,810	203,824	187,737	177,413
Casual labour	38,510	35,009	37,371	97,544	100,267
Area under cane (Ha)					
Nucleus estate	3,503	3,695	3,851	3,755	3,722
Outgrowers	51,732	53,674	63,705	59,410	62,818
Cane processed (Thousand Tonnes)	2,348	2,451	2,119	2,408	2,161
Sugar produced (Thousand Tonnes)	269	266	217	265	231
Increase/(decrease) in production					
over previous period	1.51%	(1.11%)	(18.42%)	22.12%	(12.83)%
Number of registered farmers					
at period end	63,634	65,943	77,200	81,789	84,567
Number of employees at period end:					
Permanent	1,992	1,795	1,850	1,606	1,700
Seasonal	11,207	11,894	12,636	12,620	12,000
Category of permanent/contract employees:					
Management	427	424	470	453	588
Skilled	990	999	973	918	792
Unskilled	575	394	407	235	320
Contract	94	224	146	129	153

Share Member No ______________

The Company Secretary
Mumias Sugar Company Limited (MSC)
Private Bag
MUMIAS

PROXY

I/We ______________________________ of ______________________

Being a *Member/Members of the named Company, hereby appoint:

______________________________ of ______________________

Or failing him ______________________________ of ______________________

As*my/our proxy to vote for*me/us on*my/our behalf at the Annual General Meeting (AGM) of the Company to be held on Friday 4 December 2009 and at any adjournment thereof.
*Strike out as appropriate
Signature (s)

Signed this ______________________ day of ______________________ 2009

Notes

1. The address should be that shown in the register of members.

2. In the case of a member being a corporation, this form of proxy must be executed either under its common seal or signed on its behalf by an attorney or officer of the corporation duly authorized.

3. A person appointed to act as a proxy need not be a member of the Company.

4. In case of joint holders, the signature of any one holder will be sufficient but the names of all joint holders should be stated.

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Shareholders admission letter for MSC AGM on 4.12.09

Please complete this letter and note that this admission letter must be produced at the Annual General Meeting by you or your proxy in order to record attendance.

Kindly note that only the registered shareholders or their proxy notified to the Company not later than 48 hours before the meeting will be admitted to the meeting.

Name____

Signature____

Share account number________________________________

Annual General Meeting (AGM) of Mumias Sugar Company (MSC) to be held at Tom Mboya Labour College, Ring Road Milimani, Kisumu on Friday 4th December 2009 at 11.00a.rn.